

LIC Housing Finance Ltd. (LICHSGFIN)

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"LIC Housing Finance Limited
Q1 FY '26 Investor Conference Call"
August 04, 2025

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MODERATOR : MR. PRAVEEN AGARWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the LIC Housing Finance Q1 FY '26 Investor Conference Call hosted by Axis Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Agarwal from Axis Capital. Thank you, and over to you, sir.

Praveen Agarwal: Thank you, Manav . Good day, everyone, and welcome to this earnings call of LIC Housing Finance. From the management team, we have Mr. Tribhuwan Adhikari, MD and CEO; and Mr. Lokesh Mundhra, CFO, to take us through the key highlights of the results, post which we'll open the floor for Q&A. Over to you, Adhikari, sir, for your initial remarks.

Tribhuwan Adhikari: Yes. Thank you, Praveen. Good morning, friends, and welcome to all of you to the post-earnings conference call of LIC Housing Finance Limited. As you are aware, LIC Housing Finance declared its Q1 FY '26 results last Friday.

Before I start the highlights of the Q1 results, I would like to outline a few developments in the economy over the quarter. In its June 2025 MPC meeting, the RBI surprised the market with a 50-basis -point repo rate cut, bringing the policy rate down from 6% to 5.50%, and also shifted its stance from accommodative to neutral. Also, 100 basis points CRR reduction was announced, which was expected to inject approximately INR2.5 lakh crores of liquidity into the system.

Company, keeping line, also reduces rates of interest on new home loans by 50 basis points with effect from 19th of June 2025, coinciding with the company's 36th foundation date. New home loan rates now start at 7.50%, which is very, very competitive. The banking system continues to enjoy a surplus liquidity position, amplified by the CRR cut. And this made availability of funds to HFCs like us, I would say, in abundance.

With this, we present the financial highlights of the company for the quarter, which is as follows: Total revenue from operations was INR7,233.13 crores as against INR6,783.67 crores for the corresponding quarter of the previous year, up by 7%. Outstanding loan portfolio stood at INR3,09,587 crores as on 30th of June 2025 against INR2,88,665 crores as during the same period of last year, reflecting a growth of 7%.

Individual Home Loan portfolio state -- stood at INR2,62,411 crores, as against INR2,46,275 crores, again up by 7% and comprising 85% of the total loan book. Total disbursements for the quarter were INR13,116 crores as against INR12,915 crores. Out of that, disbursements in the Individual Home Loans were INR11,247 crores as against INR10,932 crores. Disbursements in Project loans were INR156 crores as against INR521 crores for the same period of last year. We

have seen disbursements pick up gradually during the latter part of the first quarter and in the month of July.

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Interest -- net interest income stood at INR2,065.78 crores for Q1 of FY '26 as against INR1,989.08 crores of Q1 FY '25, up by 4%. Net interest margins for Q1 stood at 2.68% at against 2.76% of Q1 of FY '25 and 2.86% of Q4 FY '25.

Our PBT for the quarter was INR1,699.16 crores as against INR1,628.43 crores in Q1 of FY '25 and INR1,769.58 crores for Q4 of FY '25. PAT for the quarter stood at INR1,359.92 crores as against INR1,300.21 crores for the same period of the previous year.

In terms of asset quality, Stage 3 exposure at default as on June 30, 2025, stood at 2.62% as against 3.30% as of June 30, 2024. Total provisions as on 30th of June 2025 stood at INR5,051 crores, reflecting

ing a provision coverage of approximately 51% as against 50% during the same period of last year and 51% of Q4. Technical write-off of INR30 crores has been made in the quarter.

On the funding side, our cost of funds stood at 7.50% as on 30th June 2025, as against 7.76% as on 30th of June of last year and 7.73% as of 30th of March 2025, reflecting a reduction of 26 basis points Y-o-Y. Our incremental cost of funds stood at 6.97% for Q1 of FY '26 as compared to 7.66% for Q4 of FY '25 and 7.82% for Q1 of FY '25.

All-in-all, the first quarter of the financial year has been quite flattish, if I may say so, but we are seeing traction moving forward. And as is usually the case, Q1 is a bit slow. We are a bit slow to take off, but we are very confident of movement of -- accelerated movement happening in Q2, Q3 and Q4.

With this brief introduction, I'd like to invite you for the queries -- for your queries. Thank you.

Moderator: We have a first question from the line of Mahrukh Adajania from Nuvama Wealth Management.

Mahrukh Adajania: So I first had a question on credit costs. So our guidance was 9 to 15, right? And our credit costs are much higher than that range this quarter. So what -- how does it pan out going ahead because recoveries don't seem to be coming through in the way we had envisaged? And anyway, a lot of people are reporting, however small, some incremental stress in asset quality. So where do we stand on that front? That's my first question, and then I have others.

Tribhuwan Adhikari: Okay, Mahrukh. As regards the credit cost, the credit cost for Q1 of FY '25 is at 5 basis points, right? And if you compare this for the last -- whole of last year, it was about 9 basis points. Yes, I do agree. Like others, we are also witnessing some pressure on the collection efficiencies.

There is a slowdown in the month of June.

But we are not worried because by and large, our June quarter is slow, largely because we, here in LICHFL, during the months of May and half of June, I would say, first half of June, this is the promotion and transfer season for all of us. So there is a lot of movement of personnel from place to place and from vertical to vertical. So that does dampen the kind of effort and the focus that there is.

So we're not worried that the guidance, which we had given for the credit cost, I believe we'll be able to maintain it going forward. There has been a slight increase in provisioning as well as a

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slight increase in NPAs. NPAs have gone up by about INR500-odd crores during the quarter.

But we are not worried. I think we can recover that. We are seeing signs of recovery already in the month of July now that all my personnel or my resources are settled down and in place, have taken over their new positions, new postings.

So we are, I believe, in Q2 and the later quarters, we will continue to do well, like we've done last year. Of course, there have been no big resolutions this quarter. Many sort of big cases are in various stages of legal recourse and discussions and negotiations. So hopefully, looking forward, I think we could look forward to resolution of one or two big cases, which would considerably impact our credit cost and our NPAs and provisioning, of course.

Lokesh Mundhra: Yes. So you just see this last year, Q3 and Q4, so that time, the credit cost was negative in Q3. That was negative by 0.07%. And in Q4, it was just 4 bps only. So in totality, last year, it was 9 bps. So definitely what our MD and CEO is saying, so we'll maintain our credit cost within the limits.

Mahrukh Adajania: Sure. No, what I meant was that if you annualize that INR192 crores of provisions, then it works out to 25 basis points. But anyway, sir, what was the -- sorry?

Lokesh Mundhra: Yes. It cannot be like that. It's not like your interest cost, you are just multiplying credit cost of

quarter by 4. That is not the correct way. So if you just compare with the last year's figures, so in Q3, it was negative, and Q4, it was just 4 bps. So I'm sure that in the coming quarters, it will come down.

Mahrukh Adajania: Because of recoveries?

Lokesh Mundhra: Yes, recoveries. Yes, recoveries.

Mahrukh Adajania: Okay. And sir, what was the softness? You said there was some softness in June. In which pockets in general?

Tribhuwan Adhikari: It was basically in the retail segment, Mahrukh. It was basically in the retail segment. So whatever NPA increase we have seen, the INR500 crores, as I said, it was mostly in the retail segment only, and that is where we are seeing some pressure on the collections. But I believe it's nothing worrying. And I think going forward, this can be made up.

We have intensified our recovery operations. Yes, a part of this loosening or weakening, if I may call it, was due to movement of personnel and posting up new people into these verticals -- recovery verticals, especially, but that is the taking up place right now.

Mahrukh Adajania: Sure. And July has recovered?

Tribhuwan Adhikari: Yes, to some extent. Of course, it's not huge. But yes, to some extent, it is much better than what it was in June.

Mahrukh Adajania: Okay. And sir, just on growth then, the disbursement growth is soft this time. I'm talking about Y-o-Y, not Q-o-Q. So how do we scale it up from current levels? Because competition is also

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intensifying, and I'm told that PSU banks are now trying to compete across segments and the rates are also very favourable. So in that context, how do we build up?

Tribhuwan Adhikari: Yes, true. As far as the competition is concerned, competition is intense. And unfortunately, LICHL, we are competing with banks because we are mostly into the prime segment, into which banks are.

So yes, there is a lot of competition. There is a rate war going on. And literally, of course, as far as the rates are concerned, we have also come down to the bank level. So we are offering loans at 7.50%, which most of the bigger banks are offering. There are some smaller banks which are giving loans at even lesser than that. So yes, well, competition, of course, is there and is expected to be there in this segment also.

The other part of it, why I would say, growth in disbursement was slightly low in Q1, partially the rate cuts of February to April, 100 basis points. And if you must be knowing, banks are directly linked to the repo rate. The lending rates of banks are directly linked to the repo rate. So as soon as there is a repo rate cut, the rates automatically get reflected the lending rates by the banks. Unfortunately, we have -- fortunately or unfortunately, both ways, I would say, we are linked to our PLR, not to the repo. So we have to take a call on what to do with the rates as and when the rate cut is there.

To some extent, I do agree. I think we were slightly delayed in lowering the rates. The banks cut it immediately. Of course, they had to cut it immediately since it was linked to repo. We took our time, slightly probably a little bit more time than what should happen. So that was one of the reasons.

And the other reason, I personally feel people in India are smart. I believe they are all aware that there is a cycle of reduction in rates going on and maybe waiting for the cycle to finally conclude or come to some finality before they take a call of entering the thing. So yes, there was a slight, I would say, a lesser demand than what was expected. When the rates were cut, we were expecting a huge boost to the demand.

That did not happen, and that was witnessed across the industry. But hopefully, going forward, I believe they should pick up. And of course, our movement of personnel and people that also has an impact in the disbursements in Q1. And as I said, that

is over. So Q2 in July, there has

been better growth. We have done better in June than in July. So going forward, we do expect these investments to go up.

Moderator: We have our next question from the line of Avinash Singh from Emkay Global.

Avinash Singh: So a couple of questions. The first one is now, I mean, as RBI has cut 100 basis point repo rate and the housing loan interest have gone down. So my question is that, I mean, on your existing book, that is largely, I mean, floating rate, the individual loan, how much of that book has been repriced? And how much is yet to be repriced?

So basically, assuming that, I mean, the rate is still where it is in repo rate, what kind of yield side compression you see over, I mean, the next 2 quarters? And given that your borrowings are

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also repricing quite fast this time, what kind of overall NIM compression do you see over the next, say, 2, 3 quarters?

Tribhuwan Adhikari: Yes. Avinash, as far as 100% repo rate has been cut, and you have said that the cost of home loans have gone up -- gone down everywhere. Well, that's not true. Public sector banks have done it because they are linked to the repo rate. They have no choice. They have no alternative. But if you look at the NBFCs and HFCs, as far as I know, from my personal knowledge, apart from LIC Housing Finance and Can Fin Homes, nobody else has cut rates. HDFC, maybe to some extent, but others are where they were.

Yes, the cost of borrowing, I think, has gone down to some extent, but for the existing borrowers, they continue to remain where they are. As far as we are concerned, we have cut our rates by 25 basis points for existing borrowers also. This came into effect from 1st of June. And now since our loan book is comprised of loans with monthly reset and quarterly reset, approximately one third of our book has already been repriced. The remaining two third gets into repricing from 1st of July. So that will have some impact on our -- I would say, the yield on advances.

If I talk of yield on advances, the incremental yield has -- incremental yield on advances has come down by about 50 basis points from 9.4 at the end of Q4 of last year to 8.9. And cumulatively, it has come down by about 19 basis points from 9.79 to 9.60. Comparatively, if you look at the incremental cost of borrowing, the incremental cost of borrowing has come down by 69 basis points from 7.66 to 6.97, and the cumulative cost of borrowing has come down by 23 basis points from 7.73 to 7.50.

So whereas there is a compression in the yield on advances, there is also a compression on the cost of borrowings. Net-net, I do not believe my NIMs, which are at 2.68% as at the end of Q1, I don't think there'll be too much of a deviation in the NIMs. Whatever compression is there in the yield on advances will be offset by the compression in the cost of borrowing.

Lokesh Mundhra: Yes, I also want to say something. So if you compare our spread now, so you'll realize that our spread has increased by 4 bps. So now it has 2.10%. If you compare it with the previous quarter sequentially, it's at 2.06%. So we are getting more benefit in the cost of borrowing. So incrementally, it has come down by almost 69 bps, okay?

Avinash Singh: Yes, sir. Yes, sir. Yes. So in fact -- and that's why sort of -- I mean I saw that spread increasing. And that's why my question was that your peers are largely the public sector bank. I mean your competition is largely private sector bank -- public sector bank. And in that context, my question was more that the 25 -basis -point cut you have kind of done on your existing portfolio where what the MD said that one third portfolio has been repriced and the rest will be priced over time. My question was more that, okay, is this 25 -basis -point cut, I mean, next year kind of an offering attractive enough to kind of continue

role balance transfer? Or will you be required to kind of bring in more cuts? So I mean is this 25 -basis -point cut sufficient? Or will you be required to kind of respond with the higher cuts because your competition is public sector banks?

Tribhuwan Adhikari: Yes, true, Avinash. Competition is public sector banks. And as of now, we have taken the call of 25 -basis -point cut across the board. As of now, right now, we are not contemplating another

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-- any further cuts. Let's wait and watch. There is not too much of an impact on our, let me say, BT. The BT -- yes, they have gone up slightly, but it is not -- the increase is not significant for us to get into panic mode and start cutting immediately.

So right now, it's wait and watch. We are waiting and watching. BT is at manageable levels. And I think we need to watch what happens over a period of time. And if required -- I'm not saying no. If required, yes, we may be required to cut again. But I think we would try to manage our portfolio within the existing levels of rate -- of cuts, whatever we have done.

Lokesh Mundhra: And Avinash, we are also hopeful that in the coming quarters, our cost of borrowing will further come down by 5 to 10 bps. And our fresh loan rates, it starts from 7.50% onwards. So it is in line with the other PSU banks.

Moderator: We have our next question from the line of Rushabh Sheth from Karma Capital Advisors.

Rushabh Sheth: Sorry. No, no, my questions were answered. Thank you so much.

Moderator: We have a next question from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki: Actually, I have questions on project finance growth. So if we see in this quarter, it is quite muted. So is the LIC Housing Finance want to grow the project finance or both? And how we - how the management is seeing the growth in that sector? And also, if you see the overall growth, it is almost as stable -- same as Q1 of '24. There is no growth, you can say. So what are

the -- in market -- and what do you say about this?

Tribhuwan Adhikari: Yes. Vansh, yes. It is not that we are withdrawing from the project finance market or the construction finance market. We are there. We are there. Yes, we are slow because we want to finance only reputed and builders with pedigree. Our past history, as you all know, in the project finance space has not been great. There was a point where 54% of the construction finance book was NPA.

So we have recovered from that. We have recovered from that, learned our lesson, and we are going slow. But we are definitely there in the project finance market, and we want to grow our books. As to why the project finance disbursements were low in the quarter, if you understand project finance, the disbursements are lot like retail loans, where you sanction a loan and immediately, the loan gets taken off.

The project finance are there. We have sanctioned about INR800 crores of project finance in Q1 of this current year. But the disbursements are linked to 2 stages of construction, right? So over a period of time, as the project starts getting constructed, the disbursements will happen. So I'm not worried.

Yes, INR156 crores of disbursement as against, what, INR521 crores does appear to be some kind of a shocking kind of downfall, but it's not worrying. It's not worrying at all. We are into the project finance book. We are assessing, appraising loans to credible and at least BBB -rated builders, and we are hopeful for recovery.

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In this, already INR800 crores, as I told you, these would be disbursed as and when the construction happens. And there are various other loans -- which we are assessing at the moment and would be disbursed in the current quarter, and offtake would happen in the -- some of it in the current quarter and some in the quar

ter 3.

Vansh Solanki: Okay. And the second question is on my liquidity. Is there any excess liquidity at the end of Q1 with us?

Tribhuwan Adhikari: Our liquidity -- no, I think we don't have any such liquidity because our borrowings are exactly linked to what we need or what our requirements are. So maintaining liquidity would be a cost. We are very calculative as far as how much we need to borrow, and that is linked to our internal approvals as the kind of disbursements we expect to make over a period.

Overall, the liquidity in the system, we see there is -- as I said in my opening remarks, the liquidity in the system is there. The RBI -- the steps taken by the RBI has improved liquidity in the system. And there is no constraint or any, I would say, difficulty in raising loans and advances from the market. Funds are available as I call it.

The only question is at what rates they are available because we are negotiating whatever benefits we can get as has been witnessed by our -- we want it to come down further. As far -- and we are seeing a good traction. Just for example, very recently, we borrowed INR2,000 crores at 6.75%, which -- whereas our overall borrowing cost is at 7.50%, the incremental borrowing cost for the quarter is at 7.50%. So hopefully, going forward, with liquidity in the system, our borrowing costs will reduce.

Lokesh Mundhra: Yes. So just I want to add something. So as you said that liquidity is there in the market, ample liquidity is there. So we are getting benefited. And as you know, our cost of borrowing, especially incremental cost of borrowing, has come down below 7%. That is as of now. As on 30th June, it has come down to 6.9 7% only. And we are hopeful that in the next 3 quarters, it will further go up by 5 to 10 bps.

Vansh Solanki: Okay. And the last question is in my GNPA and NNPA. Like if I go by the numbers, exit numbers, it is approx INR400 crores to INR500 crores increase in the GNPA if I'm right. And our NNPA, I mean, the provision is increased by INR150 crores or INR200-odd crores only. So is there another increase in GNPA just for a technical write-off or just because the -- like because of 1, 2 days or 1 week, there is a customer, just for bookkeeping, it came into GNPA numbers because of that. And how much recovery management is expecting for throughout the year if you have odd number in your mind?

Lokesh Mundhra: Vansh, our asset quality is improving gradually. If you compare the Q1 last year, Q1 last time, our gross NPA was INR9,512. So if you compare with that figure, so it has now INR8,115 only. And our asset quality is 2.62%. If you compare it with the previous year corresponding quarter, it was 3.30%. So we are operating in the correct way, and our asset quality is improving gradually.

Vansh Solanki: Yes. So my question was, is the GNPA is increased more than NNPA? So the difference between the both also are just because of a bookkeeping because customers didn't pay for 7, 8 days and

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then it repays? But just for bookkeeping for the 90 -day period, it came on to GNPA number as on the quarter 1 end. That was my question, actually.

Tribhuwan Adhikari: NPA ratio, yes, it has gone up slightly. If you look quarter -to-quarter, it was 2.47% as at the end of Q4. Right now, it is 2.62%. Year -on-year, of course, there is an improvement, partially because, yes, in Q1, I would say the NPAs, the Stage 3 has gone u p by INR514 crores. Yes, there was -- we have witnessed some pressure on collections. Delinquencies in the retail, I would say, have been simply more.

But this has also been contributed by, I would say, a movement of personnel or resources because the month of May for LICHL is a month of promotion and transfers. So a lot of movement of personnel from place to place and from vertical to vertical. So prob ably because of that. But I'm not wor

ried. I am not worried. Usually Q1, this is a trend year after year, and Q1 is just slightly slow. We do tend to recover in Q2, Q3, Q4. So I am sure that the asset quality will improve further going forward, and there should not be any such problems. Our PCR continues to be in that 50%, 51% bracket. So adequate provisions are in place.

So there's nothing to worry as far as the NPA front or the Stage 3 front is concerned. Current quarter write -off was only -- INR30 crores of write -off was done. So it is not that we have significantly written off a big amount. We have INR30 crores in the current quarter.

Moderator: We have our next question from the line of Kunal Shah from Citigroup.

Kunal Shah: So firstly, maybe you indicated not too much of pressure on balance transfer at this moment. But generally, in the past, we have seen that LIC Housing has the history wherein -- it comes in 1 quarter wherein there is a lot of repricing pressure, and we res et the rate lower and then yields come off and decline in one single quarter. So how we are protecting ourselves against that kind of risk? Because I think any which way competition is huge, and we will see the pressure, and we have just cut th e PLR by 25 basis points, yes.

Tribhuwan Adhikari: Yes, Kunal, yes, answering your question. As I said, right now, we are not witnessing too much of a pressure. And I would say, we are not witnessing any abnormal pressure. Yes, historically, you are right that BTs have been sort of higher for LICHL. That means there is no business moving out than moving in, in the form of BTs. So the current trends, they continue to be at those same levels and are not alarming at all.

So what we've done, yes, we have made a provision called rewriting of interest rates available to our customers. Any customer currently, say, probably at 9%, 9.5% can rewrite his loan at 8.75% if he wants. So we have made that facility available to the bor rowers. Many of the borrowers are opting for that rather than transferring their loans. They are opting for rewriting. And the other part of it is, yes, there will be because of the intense competition and the bank's lending being linked to the repo rate, there will be pressure on us. We are aware of that. We have our teams in place. Our teams are monitoring every BT and t rying to convince the customer to stay with us for various reasons. We are offering them additional loans, etcetera, etcetera.

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But again, since the market is so competitive, it is all -- at the end of it, it is going to be a book -- a big game of margins versus growth, right? So we, as a company, we need to take a call as to whether we really need to grow the book at almost minima l or no spreads, or we need to protect our margins. And what I personally see, given a push and a shove and with our -- if our backs are to the wall, I would prefer to protect the margins rather than look at growth. So that is what the strategy is at the moment.

Kunal Shah: So maybe fair to assume that the growth will also maybe continue to be very modest. In fact, a few quarters back, we have been indicating we would want to get towards double -digit. But given maybe the focus on margins and this kind of a competition with ba nks being very aggressive, should one settle with maybe 7%, 8% growth for you?

Tribhuwan Adhikari: Well, at the moment, Kunal, honestly, I'm not indicating that. I'm not guiding towards that. We would like to wait and watch in the second quarter what happens, what is happening and then probably take a call and maybe in the analyst call of Q2, I would be able to give you a better idea of what we are looking at, what numbers we are looking at growth. But I'm very clear in my mind that if at all it comes to choosing between growth and margins, I would choose margins.

Kunal Shah: Okay. Got it. And last one on the overall yield bre

akup. You mentioned incremental yields are

8.9. If you can just highlight in terms of how the incremental yields have be en in home loan and LAP, yes?

Tribhuwan Adhikari: Well, I don't have the -- Kunal, I'm sorry. I don't have the breakup on home loans and projects, etcetera. Overall, I have this what I gave you, 8.9 against 9.4 in Q4 of last year.

Moderator: We have our next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.

Abhijit Tibrewal: So for the benefit of everyone, just trying to understand, you took your first PLR cut of 25 basis points effective 1st April. And then did you share that you've taken your second 25 basis points rate cut effective 1st of July? Is that understanding correct?

Tribhuwan Adhikari: Abhishek, we took only -- we have taken only one rate cut across the board. 25 basis points was on 20th of -- 28th of April. Now since our book, one third of the loans are on monthly reset, so immediately on 28th of April when we took it, they went on -- the rates got -- for these one third loans, the rate got cut on the 1st of June, right? 1st of June, yes.

And -- May, sorry, 1st of May. 28th April was the date when the cut was taken. So from 1st of May, one third of my book got reset. The other two third of my book is on quarterly reset. So that got -- that got reset on the 1st of July. But there has been only one rate cut of 25 basis points across the board.

Abhijit Tibrewal: Got it, sir. So essentially speaking, in terms of PLR, we've just taken one 25 basis points rate cut until now?

Tribhuwan Adhikari: Yes. Yes, that's correct.

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Abhijit Tibrewal: Got it. Got it. And like you, I mean, spelled out earlier, sir, during the course of the quarter, if need be, we might look at further PLR cuts?

Tribhuwan Adhikari: Well, yes, Abhijit, I'm praying every day that we don't need to cut further. But yes, as I said, we'll take a call as the scenario unfolds in Q2.

Abhijit Tibrewal: Got it. Got it. So the other question I had was around the asset quality. I'm just trying to understand right now, I mean by this quarter, we might want to call out the slippages that we saw as seasonal. You also alluded to the fact that, I mean, there are changes that happened at LIC Housing in terms of people movement, promotions in the month of May, which typically leads to some disruptions. But sir, what I'm trying to understand here is within the different product segments that you have, are you seeing more stress building up today in the LAP segment?

And sir, why I ask is, of late, we've been hearing that there is stress that is coming in the MSME segment, predominantly unsecured. But is there a reason to believe that somewhere going forward, when people don't have enough money coming in from unsecured loans, they might gravitate towards this LAP product?

And sir, to that extent, I mean, last 1 year, you will also acknowledge the industry has seen very strong growth in LAP. So are you also seeing now early signs of higher delinquencies in the LAP product? And sir, a related question, if you could also share your segment-wise gross Stage 3 that you share every quarter in the earnings call.

Tribhuwan Adhikari: Yes. Abhijit, well, if you look at LICHFL, unfortunately, we don't have a big LAP book. We are mostly into IHL, 85% of our loans in the IHL segment. The LAP segment hardly would contribute to about 12% to 13% of my book.

Lokesh Mundhra: 11%.

Tribhuwan Adhikari: 11% of my book. So there is not too much of a LAP book. Whatever delinquencies we've noticed in Q1, my Stage 3 EAD has gone up by INR514 crores. Most of it has been in the retail and IHL segment, which has not significantly increased in the LAP or the LRD segment. So most of it is in the retail segment.

Yes, I do agree. There has been some pressure on collections in the retail segment. The

is has

happened across the industry. Yes, the other -- my competitors mostly go into the LAP and the LRD business. Maybe they are witnessing -- like banks are witnessing in the MSME segment, they are witnessing some pressures in the LAP book. But no, our LAP book continues to perform as it is. Our worry or concern is in the IHL book, where the -- most of the delinquencies have taken place in Q1.

As regard the number, you're asking for the Stage 3 numbers for Individual Home Loans. Our Stage 3 in IHL is about 1.22% -- the EAD percentage, 1.22%. And the EAD is INR3,211 crores. What exactly -- Abhijit, what are you looking for here? Do I give you the EAD and...

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Abhijit Tibrewal: So sir, you can give the EAD. And so basically, every quarter in the earnings call, we share the

segment-wise for IHL, NHI, NHC, non-housing individual, non-housing commercial and project loans. The split, we typically give the EAD in every earnings call.

Tribhuwan Adhikari: Okay. You can note it down. In IHL, the EAD is INR3,211.32 crores, and the EAD percentage is 1.22%. In NHC, non-housing commercial and projects, it is INR3,497.77 crores. The EAD percentage is 24.82%. In the NHI, it is INR1,406.18 crores, and the EAD percentage is 4.25%. And in the -- and the overall ECL, it stands at INR8,115.27 crores, with a percentage of 2.62%.

Moderator: We have our next question from the line of Rajiv Pathak from GeeCee Holdings.

Rajiv Pathak: Sir, just two questions. One on the disbursement. So Q1 generally tends to be soft. But for the full year, what is the kind of disbursement growth that you are looking at?

Tribhuwan Adhikari: Well, Rajiv, if you -- in our con call for Q4, for the guidance for the year, we had given a double-digit growth as the guidance, right? Q1, yes, it has been very, very muted. Growth has been on about, what, year-on-year, it is 7%. Q-on-Q, it is about 4.5%. So yes, it is slightly muted. And as I said in the beginning, that's muted.

Sort of it being slightly low, largely to do with the rate cuts and we being slightly slow in passing on the rate cut probably. That is my assessment now in retrospect -- in hindsight. So that was one. And the other is, of course, the disturbance due to the movement of people from here and there. That is also -- that does also contribute to a muted Q1 in LIC Housing Finance.

Right now, I'm not in a position to give you any guidance as I'm sticking to that double-digit growth guidance, right? We'll wait and watch in Q2 how things unfold and how our growth picks up. I'm expecting growth to pick up in Q2.

After the Q2 ends then maybe probably I'll have a relook at the guidance call of double-digit growth and come back to all of you and the markets with what I feel would be the growth guidance of LICHFL for the entire financial year. Coming festival season coming up, this usually is a good season for all of us. And like in the past, we are hopeful of doing pretty well in the festival season.

Rajiv Pathak: Sure. Sir, can you tell us the monthly disbursement that you have done in April, May and June?

Tribhuwan Adhikari: April, May and June, okay. April, it was INR3,265 crores. May, it was INR4,580 crores. And June, it was INR5,125 crores.

Rajiv Pathak: Okay. So basically, if you were to derive, so last year, I think we were at a monthly average of, say, INR5,500 crores. Now that we have hit INR5,000 crores plus in June itself, maybe this Q2 being better, should we take it to something like a INR6,000 crores of monthly disbursement average run rate? That would not be too far figure, right?

Tribhuwan Adhikari: Should go up there. It should go up there. July has been about INR5,500 crores, right? So we should be -- August onwards, we should be hitting INR6,000 crores, INR6,500 crores every

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month

. And this will -- actually, festival season, it will be higher. Festive season, it will be higher than that.

Lokesh Mundhra: Rajiv, the figures conveyed to you by MD & CEO. That is only retail.

Tribhuwan Adhikari: Yes, Project -INR156 crores only in the entire quarter.

Rajiv Pathak: Sure. Sure. Got your point, sir. And sir, on the spread, so I think since we had this benefit of cost of funding being upfronted this quarter, while the repricing of the yield was slightly backdated because of the 1/3, 2/3 thing. So we had the spread improvement. But going into the next quarter, when you have 2/3 of your loan book getting repriced, do you think that the benefit of the cost of fund will be sufficient enough to cushion you?

Lokesh Mundhra: Yes. Right now, as of June, our spread is 2.10%. And I earlier told that our incremental cost of borrowing has come down by 69 bps. And in the coming quarters, we are expecting that it will further come down by 5 to 10 bps. So in a nutshell, what guidance we have already given, that is between 2.6% to 2.80%, then definitely we'll maintain that.

Rajiv Pathak: Okay. So I mean there's a possibility of 2.10% being maintained or even go up if you have this benefit on the cost of funds?

Lokesh Mundhra: Yes, maybe. Yes, maybe.

Moderator: We have our next question from the line of Zhixuan Gao from Schonfeld Strategic Advisors.

Zhixuan Gao: Just want to follow up on your earlier comment that for borrowers who want to BT out, we have available facilities allowing them to reprice at a lower rate. I just want to double check. Did I hear you correctly that they can reprice 75 bps lower if they chose to ask for it?

Tribhuwan Adhikari: Yes, Mr. Gao. It's something like this. Yes, not all our borrowers are at very high levels of rates of interest. But the borrowers trying to go out our books, we do -- we are offering them this facility. This is available for everyone. It is not that this is a special facility available to only those who want to go.

This is available to across the board to our borrowers. Any borrower who, right now, has a, I would say, a rate of interest -- effective rate of interest of more than 8.75%, we are offering them

a rewriting at 8.75%. So that is one of the tools we are employing to retain the existing borrowers who want to move out.

The other thing is that since they are -- they've been with us for some time and we are aware of the property collateral, the kind of -- the value of collaterals they hold, we are -- if required, if they're interested, we are offering them top-ups and loans on their property to hold them back. So these are some of the methods we are employing to retain customers rather than letting them go through competitors because of lower rates of interest being offered by the competitors.

Zhixuan Gao: And I'm only asking...

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Lokesh Mundhra: Yes, yes. So our business transfer -- as you are asking, our business transfer is hardly 0.10% per month. Just looking to size of our book, that is more than INR3 lakh crores -- INR3,09,000 crores. So INR1,000 crores -- in INR1,000 crores in a quarter, so it is hardly 0.1%, 0.1% per month. That's all.

Zhixuan Gao: That's helpful, sorry. This new offering, when did we start that anyone above 8.75% can opt for 8.75% rate? When did we start this program? When did we start it?

Tribhuwan Adhikari: It is already in go. It is already in go. We call it rewriting. So anybody as on date having a rate of interest higher than 8.75% can approach us, pay a small amount of fees and get his loan rewritten at 8.75%.

Moderator: We have our next question from the line of Chandrasekhar from Fidelity.

Chandrasekhar: I just want to know how much of the bank borrowings are repo linked? And how much of them have a T+1 pass-through? Just trying to get a sense of how much of our entire 31% of our liability

ility

book has been repriced with the second 50 bps cut.

Lokesh Mundhra: Yes. So our 25% of total borrowing is EBLR. And in the current year, the remaining 9 months, almost INR22,000 crores of NCDs will be repriced. So if you take it bank borrowing plus repricing of NCDs, the total book of around 42.96% would be floating. And the remaining 57% would be fixed.

Chandrasekhar: So have you had a T+1 pass-through on the entire 100 bps for -- on the bank borrowing?

Lokesh Mundhra: Yes, yes, yes.

Chandrasekhar: Right. Okay. So that's -- we're not going to get much of an additional benefit on the bank borrowing side. Essentially, the delta is coming from the NCD side on a prospective basis?

Lokesh Mundhra: So bank borrowings, it's already -- we already got benefit, and the incremental, it has come down by almost 69 bps. And what we are saying that it will further come down by 5 to 10 bps. So we are getting benefited on our existing borrowing from banks and the scenario of more liquidity in the market, and we are getting benefited gradually.

Chandrasekhar: Got it. Second, just how large is the TWO pool? And just any sense on how much recovery you expect during this year?

Tribhuwan Adhikari: Can you come again? I didn't get what you were asking.

Chandrasekhar: Just how large is your TWO pool today?

Lokesh Mundhra: Can you elaborate?

Chandrasekhar: Yes, yes, written-off of pool, sir, written-off pool. And just any sense on any recoveries of what's broadly...

Lokesh Mundhra: So we've already hardly written off INR30 crores only in this quarter. And total is about...

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Chandrasekhar: Sir I'm talking about the -- yes, total amount.

Lokesh Mundhra: It's about INR4,000.

Chandrasekhar: INR4,000 crores.

Lokesh Mundhra: Yes.

Chandrasekhar: Any sense on what we could recover sometime this year?

Lokesh Mundhra: So many proposed by -- many cases are in pipeline, and we are expecting a good recovery in the coming quarters. And this quarter, we already recovered INR60 crores.

Chandrasekhar: Right. Just last question, I think last year, about 8, 9 months back, started about an affordable housing, which is at 250 bps higher. Maybe some color on where we are in that process, how large a book that is today? And just -- I mean, it's small, but in the overall context, but maybe over a year or a couple of years, how large do you think that can become?

Tribhuwan Adhikari: Chandra, well -- Chandra, right, we just started it last year in September onwards -- end of September onwards. So we're still in the process of sort of -- we're in the process of building up the infrastructure and the capabilities right now. We are not very aggressive on that, taking it

slow and steady because this is a risky segment.

We do not want to sort of entangle ourselves in something which we would not like in future.

So planning to -- we are very much into this segment. We realize this is a segment which has the growth potential and also the margin potential. So we are going to get into it, but slowly and steadily as we sort of build up our infrastructure and efficiencies.

Right now, it's pretty slow. But yes, there is some traction going on month-on-month. Last year, for example, about INR458 crores of business came in from the affordable. This year, not having a huge target as such. We would be happy with somewhere about INR1,000 crores and a lot more buildup in the infrastructure and the capability.

Moderator: We have our next question from the line of Raman from Sequent Investment.

Raman: I just wanted to -- it's more like a clarification. Can you -- you said you are expecting double-digit growth during the year. Is it AUM growth or the NIM growth?

Tribhuwan Adhikari: No, no. We're talking about the disbursement, the book growth as well as the disbursement growth.

Moderator: We have our next question from

the line of Koteswar Rao, an Individual Investor.

Koteswar Rao: Sir, you are discussing the new home loans at 7.5% interest rate right? But how you are trying to reduce the home loan interest rate for the existing customers? Since in this year, RBI already reduced by 1 percentage, right? But your customers haven't get that benefit. How can the existing home loan customers get the benefit from LICHL?

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Tribhuwan Adhikari: Yes. So Mr. Rao, it's something like this. HFC, housing finance companies, our business is very simple. We borrow money from the market and give it to you, individual home buyers, right?

Right now, my cost of borrowing is 7.50%. And you want to give it to you at 7.25%. How is that possible? That is not going to be possible, right?

So we do a monthly analysis of what my cost of borrowing is, what my cost of lending is, how much spread is needed because it's not simple that I borrow at 7.5%, I lend it 7.5%, earn zero, and who then -- how do I manage my expenses and my overheads and various other things, right?

So ours is linked to the PLR, the prime lending rate is what we call. We have cut it by 25 basis points for all customers. I do not know if you've not got it. You kindly see your statement for the month of July. You may be the quarterly reset customer. For you, it is applicable from the 1st of July.

But we have cut it by 25 basis points across the board. And going forward, depending on our cost of borrowing, we will take a call. So if there is a significant reduction in our cost of borrowings, we will definitely like to pass on to our -- pass it on to our customers.

Koteswar Rao: Okay, sir. In this case, just a small suggestion. And I tried to reach out to your branch manager and regional manager, and they don't have any enough info to clarify with the customers. And also, I see some of your agents referring RBI rates instead of our own PLR rates, okay? So it would be better if you discuss properly before discussing the home loans with the customers.

And one more thing, if this same thing continue, okay, definitely, banks will get the summary rate. Bank is offering with a better ROA. So why I need to invest in housing finance companies like LIC? In my case, I am the investor for LICHL. And as -- so I'm a customer for LIC company. I took home loan, but I didn't get any benefit in the ROA change?

Tribhuwan Adhikari: You must have got a 25-basis-point cut, Mr. Rao?

Koteswar Rao: No, sir. Actually, I took home loan on May, and I didn't get anything. And bank manager also don't know when you guys are revising the ROA. So I am in dilemma?

Tribhuwan Adhikari: No, no, May -- if you got it in May '25, you would have got it at 7.5%.

Koteswar Rao: No, sir. No. I got at 8.1 according to my -- no, no, no. At the time, 8% is the starting one. I got at 8.1%, but then they didn't reverse it to -- as per your changes. I hope you understand?

Tribhuwan Adhikari: Never had an 8.1% in rate. The rate of interest for Individual Home Loan borrowers is dependent on the CIBIL score and other risk factors, right? So probably the rate was -- maybe the rate was 8%. You got it at 8.1% because of your CIBIL and other related factors.

But then yes, and the cut was in the -- on the 28th of April. So you would have got the benefit of that. I don't understand. Everyone, every customer wants that you should get it at 0% interest.

I understand that, but we have a company to run.

Koteswar Rao: It's not like that, sir. What I'm...

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Moderator: Sorry to interrupt you, sir. May we please request you to rejoin the queue? We have our next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.

Abhijit Tibrewal: Sir, just trying to understand one small thing. If you look at your reported yields,

it was 9.79%,

yes, as of March, which you have reported at 9.6% as of June. So my understanding is this is based on a period end, right? So these numbers are as of March and as of June. So first, is this understanding right?

And the other thing I was just trying to understand, sir, is that if you look at your PLR cuts, you shared that you've taken a 25 basis points cut, where 1/3 of the customers are on monthly reset. So this 19 basis points Q-o-Q decline that we have seen in the yields, right, is it partly because of this 25 basis points rate cut and the remaining delta coming from the newer origination, which are happening at lower rates? Is that understanding correct? Or how should we understand this 19 basis points Q-o-Q decline in yields?

Tribhuwan Adhikari: Perfect. Yes, this is the cumulative, 9.60% and 9.79% as at the end of last quarter. This 19 basis points is on the cumulative yield on advances. Yes, definitely, the one third cut, which we -- 25-basis -point cut on one third of our book, which came into effect from 1st of May would have contributed to some of this, and the other would have been at the incremental lending, which we have done in the current financial year at near about 7.5%.

Abhijit Tibrewal: Got it. And sir, then because effective 1st July, the remaining 2/3 of the customers will see a 25 basis points repricing. So that impact, we will see in the second quarter business -- on business?

Tribhuwan Adhikari: Yes, you're right, Abhijit.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Tribhuwan Adhikari: Yes. Thank you, friends. I believe we've been able to clarify most of your queries and your questions. As I said, Q1 has been quite flattish for us. Of course, traditionally, it is a slow quarter for that LICHFL. As in the past, we have shown traction and growth going into quarters 2, 3 and 4. This is what we are expecting in the current year.

A slightly different market in the current financial year because of the rate cuts. Yes, the companies are under pressure. As Mr. Koteswar Rao, an individual investor alluded, customers want the benefits of the entire rate cuts to be passed on. In some cases, not possible, like companies like HFL because we have to do business. We are a company. We have to borrow and lend. So it depends on borrowing rate.

But looking forward, we expect everything to pick up, the growth momentum to pick up, the activities in the markets to pick up. Of course, I do understand, competition also will pick up because banks are very, very, very aggressive. But 36-year-old company, I think we are poised to take on the market, poised to take on the competition and do ourselves to do well for us.

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Q2 is going to be a defining quarter for all of us. That will set the course for the financial year.

So looking forward to meeting you all at the Q2 conference call and sort of explaining our performance as well as our way forward. Thank you all for your support.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

04th November, 2025

The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block, Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip ID: LICHSGFIN EQ
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Department of Corporate Services-Listing Dept.,
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.
Scrip Code : 500253
Email: corp.relations@bseindia.com
Dear Sir/Madam,

Re:- Disclosure in terms of Regulation 46 (2) (oa) of SEBI (LODR) regulations, 2015 pertaining to the uploading of the Audio or video recordings and transcripts of post earnings calls on the website of the Company.

With respect to the captioned subject the Conference Call Transcript for Q2 FY2025-26, which transpired during a conference call convened for investors and analysts on Thursday, 30th October, 2025 at 11:30 AM IST , to discuss the unaudited financial results for the quarter ended 30th September, 2025, has been uploaded on the website of the Company namely www.lichousing.com .

The respective Link for accessing the said material is as given below:

Transcript of the Call:- <https://www.lichousing.com/investors/concall-transcript>

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For LIC Housing Finance Limited

Varsha Hardasani
Company Secretary and Compliance Officer

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"LIC Housing Finance Limited Q2 FY '26 Investors
Conference Call "

October 30, 2025

MANAGEMENT : MR. TRIBHUWAN ADHIKARI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – LIC HOUSING

FINANCE LIMITED
MR. LOKESH MUNDHRA – CHIEF FINANCIAL OFFICER
– LIC HOUSING FINANCE LIMITED
MODERATOR : MR. PRAVEEN AGARWAL – AXIS CAPITAL LIMITED

LIC Housing Finance Limited
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Moderator : Ladies and gentlemen , good day, and welcome to LIC Housing Finance Q 2 FY '26 Investor s Conference Call hosted by Axis Capital Limited .

This conference may contain forward -looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and u ncertainities that are difficult to predict.

As a reminder, all participant s' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Now , I hand the conference over to Mr. Praveen Agarwal from Axis Capital Limited . Thank you, and over to you, sir.

Praveen Agarwal: Thank you, Swapnali . Good day, everyone, and welcome to this Earnings Call of LIC Housing Finance.

Today with us we have the management team led by Mr. Tribhuwan Adhikari – MD and CEO. Along with him, we have Mr. Lokesh Mundhra – CFO, to discuss the initial results , post which we will open the floor for Q&A.

I would request Mr. Adhikari to share his initial remarks. Over to you, sir.

Tribhuwan Adhikari: Thank you, Praveen. A very good morning to all of you friends and welcome to the post Earnings Conference Call of LIC Housing Finance Limited for Q2. As you are aware, we declared our Q2 financial results yesterday after the Board meeting.

Before I start with the highlights of Q2 Results , a brief outline of some of the developments in the economy over the last quarter :

The RBI, as in the October meeting, kept the repo rates unchanged at 5.5% and retained a neutral stance while upgrading growth projections, a signal that the monetary conditions are stable and supportive of credit growth.

Retail inflation has moderated sharply with the CPI printing at a multi -year low in recent months, which reinforces the RBI room to remain accommodative.

On the housing front :

We have witnessed a good resilient demand in Q2 as compared to Q1, which was slightly muted. For this, it translates into an environment of sustained demand and improved asset quality

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dynamics and good opportunities to grow the market share while maintaining credit discipline in Q3 and Q4, which are traditionally the strong quarters for the company.

With that as an overview, I woul d like to share the key financial highlights for the quarter :

Total revenue from operations were at Rs. 7,163 crore s against Rs. 6,926 crore s for the corresponding quarter of the previous year, up by 3%. Outstanding loan portfolio stood at Rs. 3,11,816 crore s at the end of the quarter as against Rs. 2,94,588 crore s as on the same period last year, reflecting a growth of 6%. Out of this, the individual housing loan portfolio stood at Rs. 2,64,096 crore s against Rs. 2,50,879 crore s, up by 5%. The housing loan portfolio incidentally constitutes 85% of the total portfolio.

Total disbursements for the quarter were at Rs. 16,313 crore s as against Rs. 16,476 crore s for the corresponding period. Out of this, disbursements in the individual home loan segment were Rs. 13,490 crore s as against Rs. 13,051 crore, up by 3% Y-o-Y. Sequentially, the disbursements were up by 24% as against the Q1 number of Rs. 13,116 crore s.

Disbursements in the project loans were muted at Rs. 378 crore s as against Rs. 1,397 crore for the same period of the previous year. The overall project loan portfolio now stands at about 3% of the overall portfolio. We continue to be cautious and selective in our approach in this segment. Net interest income stood at Rs. 2,038 crore

s as against Rs. 1,974 crore s for the same period in

the previous year and Rs. 2,066 crore s for Q1 of Financial Year '26. Net interest margins for Q2 Financial Year '26 stood at 2.62% as against 2.71% of Q2 of FY '2 5 and 2.68% of FY '26 .

PBT, profit before tax , for the quarter was at Rs. 1,704.71 crores as against Rs. 1,664.36 crores in Q2 of Financial Year '2 5, a growth of 2% as compared to Q1. The PBT recorded an increase

of 0.3 2% from Rs. 1,699.16 crores to Rs. 1,704.71 crores. Profit after tax for the quarter stood at Rs. 1,353.87 crores as against Rs. 1,328.89 crores for the same period in the previous year, a growth of 2%.

In terms of asset quality, Stage -3 exposure at default as on 30th September 2025 stood at 2.51% as against 3.06% as on September 30th of last year. Total provisions as of 30th September of current year stood at Rs. 5,074 crores reflecting a provision coverage ratio of above 53% as against a provision coverage ratio of 49% as of at the end of the quarter last year.

A technical write -off of Rs. 133 crores has been made during the quarter. These loans were all carrying 100% provision. Also, there was a recovery from written -off loans to the tune of Rs. 83 crores. In the coming months and quarters, we expect the asset quality to improve further and this trend to continue.

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On the funding side, the cost of funds stood at 7.42% as on 30th September of the current fiscal as compared to 7.73% as on 30th September last year and 7.50% as on 30th June of last year, a decline of 8 basis points sequentially against the entire borrowing pool of Rs. 2.72 lakh crores. Incremental cost -of-funds stood at 6.73% for Q2 FY '26 as against 7.71% for the corresponding period last year and 6.97% for Q1 of the current fiscal, that is a decline of 24 % sequentially in the incremental cost.

With this brief introduction, I would like to invite you for your queries. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nomura. Please go ahead.

Mahrukh Adajania: Sir, I just had a few questions. Firstly, on growth, right? So, our growth is flat Q-o-Q when in general seasonality should be better this quarter. And the repayment in core retail also looks on the higher side. So, possibly, there are BT out. How do we plug that? How do we accelerate growth from here on? Because it is just stuck on a year -on-year basis also in that single -digit range. So, how do we view growth going forward? That is the first question, especially even in core retail. I am not even talking about developer or LAP.

Tribhuvan Adhikari: Is that the only question, Mahrukh?

Mahrukh Adajania: No, I have one more, sir. Also, in terms of credit costs, so now we see them settling in this 20, 22 basis points range. Is that the right way to look at it? Of course, and if and when recoveries come, then that is an additional upside. So, will it be in that range, the credit cost, or would it be slightly higher or lower?

Tribhuvan Adhikari: Fine, Mahrukh. I will take your first question on growth. Yes, I do agree that the growth has been, I would say, flat. As you said, we are just showing growth of 5%, 6% Y-on-Y and Q-on-Q also there is not too much of a growth. Yes, you are right. The growth, to some extent, has been hit by BT during this second quarter.

If I take on Q2, the BT has been to the tune of Rs. 4,014 crores against a normal run rate of about Rs. 2,000 crores in a quarter, right? In Q1, it was Rs. 2,195 crores. So, there was a slight pressure on BT largely because of, I would say, the rates the banks are, and in case of a BT, what usually happens when a person goes out, he gets the new, what we call the normal lending rate which is available, which is roughly, which starts from 7.50

% by and large in the industry. So, that was one of the reasons.

Yes, we were aware of this. We were waiting and watching what would be the impact. And this Rs. 4,000 crores of BT out in the quarter did sort of take away about Rs. 2,000 crores of business from our loan book. So, had we decided to lower our, what we call, rewriting rates, we could have probably saved on those Rs. 2,000 crores.

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But then again, as I said in the beginning of the year, this year is going to be a year of challenges in the sense of balancing growth with the spreads and the NIMs. So, we did, I would say, decide not to be very aggressive on reducing rates as a result of it, which probably took a good hit.

But we have done it now very recently. We have reduced our rewriting rates to some extent and we are hopeful that this BT challenge is now over. The BT challenge is now over. As witnessed in the month of October of Q3, the BT is at lower levels as compared to July, August, and September of Q1. So, the BT challenge is over. Yes.

The other part is, of course, we have to grow the disbursements. The disbursements though quarter -on-quarter have grown by about 24%, but year on year the disbursements are up just by 3%. But again, the quarter -on-quarter growth of 24% gives us hope that we will do much better in Q3 and Q4. And traditionally for LICHL, Q3 and Q4 have been the most productive quarters when compared to Q1 and Q2.

So, we had in the beginning of the year given you a guidance of about 10% growth, both in disbursements as well as the book. We right now stand at 6%. So, we are hopeful that the green shoots we see in the increase in disbursements from Q1 and Q2 will continue further, accelerate further, and probably by the end of the year we will be closer to the guided figure of double-digit growth.

As regards credit cost, yes, in the beginning of the year we had given a guidance of keeping credit costs within 15 basis points. Right now, in Q1 it was 6 basis points. In Q2 it was 5 basis points. So, together, 11 basis points. But if you see, though our asset quality has been improving, we have been making a slightly higher provision.

Our PCR currently stands at 53% whereas at the end of last year it was at 49%. In the last quarter it was 51%. And that is partly because let me call it the principle or let me say the, what we call is, we have something called the management overlay. Though traditionally it means it is at the discretion of the management to decide how much to provide and how much not to provide, but here in this company we have formulated this, or we have had a written down six-point formula on what are the management overlays we are going to provide for.

So, there is not too much of, I would say, management discretion on that. And because of that, some of the stressed loans which are outstanding for a longer period of time, even though as per the ECL we did not require to provide for them, but as per the formula we have fixed for ourselves, we have to provide for a little bit more. So, the management overlay has been additionally provided in the quarter, which has resulted in a better PCR or a bigger PCR by an increase in the PCR by 2%. So, probably, that was one of the reasons why our credit cost appears to be slightly higher.

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But going forward, I believe we have made whatever provisions are required to be made. The asset quality is improving quarter-on-quarter. A lot of efforts have been taking place to get these recoveries, especially the legacy loans which form a major portion of our Stage-3 portfolio, to get these resolved either through legal methods SARFAESI or through the NCLT or through the DRTs and also through conciliation, negotiation, and settlement.

We expect in the remaining two quarters, Q3

and Q4, at least three big loans to be settled. They are very close to resolution and almost literally I would say the final stages of resolution, the final small formalities and modalities need to be worked out. So, going forward, I am pretty sure the, I would say, credit costs would be further reduced, and I think we would be able to achieve the guided range of 50 basis points, which we had alluded to in the beginning of the year.

Mahrukh Adajania: Sir, but what is the new rewriting rate now that you adopted now?

Tribhuwan Adhikari: Well, it is the lending rate plus 50 basis points, by and large. By and large.

Mahrukh Adajania: So, what would it be?

Tribhuwan Adhikari: The lending rate is about 7.50 % So, 50 basis points would mean closer to 8 % subject to CIBIL score.

Mahrukh Adajania: Okay. So, there is still a difference with banks, but it is lower than earlier. So, it is helping business. That's correct.

Tribhuwan Adhikari: Yes, it will help BT out. It will help in containing and reducing BT out. Yes, of course, see, we are at a very peculiar situation. The portfolio we deal in and the segments we deal in are exactly the same ones which banks are lending to. And banks, since everything is repo rate dependent and banks are very aggressive also, they are rewriting, for them any BT in gets written at the normal lending rate of approximately around 7.5 %, 7.6%.

It will be difficult for us to match that. We cannot go so far low. But yes, we have taken a conscious call that yes, so we need to be competitive. We need to somewhat put the brakes on the BT out which were slightly at elevated levels in Q2, and the October results tell us that yes, I think we have been successful. We are now back to normal.

Moderator: The next question comes from the line of Renish from ICICI Bank. Please go ahead.

Renish: Just two things from my side. One, on the NIM. So, from last two quarters we saw a significant reduction in incremental cost of borrowing, and I do understand that it will not reflect in NIM immediately. But just wanted to check, when do you see the book cost coming down materially and drive NIM higher? And also does your PLR directly link to your book cost? In that case, NIM will structurally remain low as the moment your book cost comes down, next quarter you

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have to adjust your PLR, which will result in asset yield compression. So, how do you see the NIM trajectory in near term, say next four to six quarters?

Tribhuwan Adhikari: Yes, right now the NIMs are at 2.62% for the quarter, right? And beginning of the year, we have

given the guidance that NIMs would be in the range of 2.6 % to 2.8 %. As regards the transmission of the lowering of the PLR, we lowered the PLR in the end of April month , 1/3 of my book. That means out of 15 lakh loan portfolio, number of loans , 15 lakh loans were on monthly reset. So, they got reset from the 1st of May itself.

The rest 2/3, that means 10 lakh loans, got reset from the first day of the next quarter because they were on quarterly reset. So, the entire reset on these 10 lakh loans happened on the 1st of July. So, the full impact of the PLR reduction was felt in Quarter 2 because the reset happened from the 1st of July on the remaining 2/3 of the portfolio.

So, I think as far as the reset is concerned, all loans have been reset. There are no further resets which are going to take place. So, I believe this 2.62 % NIM which we are seeing at the end of Q2 is the bottom that we have seen. I do not see any reason why there should be any compression on NIMs any further .

Going further as the cost of borrowing decreases , now as far as the cost of borrowing is concerned , my borrowing book of Rs. 2,70,000 crores is divided into two parts. 53% of my book, the borrowing is at fixed cost in the form of NCDs. So, that is not going to get

replaced. That

will only happen when the NCDs go out of my books 43% of my book is linked to the repo, which are basically bank borrowings where I do get the benefit of reduced repo rates.

So, this, I would say , a compression in the cost of borrowing, part of it has come into Q2 and some, a little bit more will be transmitted in Q3. So, we can expect the incremental and the cumulative cost of borrowing. Incremental cost of borrowing right now stands at 6.85% and the cumulative cost of borrowing stands at 7.42%. We expect, of course , there has been a compression, but we expect it to compress a little bit more further, probably by 5 or 6 basis points further in Q3. So, that will also translate into a better NIM, I would say, in addition to the NIM.

So, going forward, I believe the NIMs, the range which we had given 2.6 % to 2.8 %, we shall be maintaining it. 2.62 %, I believe, is the bottom of the curve which we are experiencing right now at the end of Q2 . Going forward, I expect the NIMs to improve slightly.

Lokesh Mundhra: Yes, Renish , Lokesh Mundhra, CFO . I just want to add something more . So, last quarter as on 30th June, our cumulative cost of borrowing was 7.50%. Now it has come down to 7.42%. So, there is a reduction of almost 8 bps point . If you compare on a quarterly basis, for the last quarter, incremental cost of borrowing was 6.9% which has come down to 6.73%. So, there is a reduction of 24 bps and this year almost Rs. 15,000 crore s, Rs. 14,000 crores to Rs. 15,000 crore s, NCDs
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are going to be repriced by end of March. So, we are expecting the 10 to 12 bps further cut in our cumulative cost of borrowing.

Renish: Just to follow up on that , I mean , the moment your cost of borrowing comes down, how often you sort of reassess the PLR rate? Is it quarterly, 6 monthly? How is it ?

Lokesh Mundhra: Review is on a periodical basis . Our PLR is repriced based on our cost of borrowing and other factors.

Tribhuvan Adhikari: Quarterly.

Lokesh Mundhra: Or quarterly basis we review it.

Renish: On quarterly basis, you said?

Lokesh Mundhra: We review it on a quarterly basis , and PLR after reviewing if the cut is required , and it all depends on the cost of borrowing and other factors.

Renish: My second question is again on the growth side. So, honestly, our growth is one of the lowest in prime housing despite such a strong brand and competitive pricing. And also, I am just referring to your Slide #12, wherein the ticket size is increasing and however, even growth continue to remain low single -digit, which means login must have been lower in the recent past. So, what are the plans to accelerate login and eventually clear the disbursements ? And also, do you feel is there any need for a structural change? We are doing a business considering the increased competition. Do you feel there should be any incentive or a branch structure as to change to excel in this process ?

Tribhuvan Adhikari: Yes, Renish , coming to growth , yes, that is , I believe , the biggest point of worry for us as management also. As a company, I think we have stagnated over quarters, but I believe over the last few years the kind of growth we envisaged or thought about have not come about. Yes, there is a lot of soul searching going on within the company. What do we do? What do we do with the distribution model? Is there something done in the distribution model? Is there something to do with the structure of the company ?

And towards that, the Board has guided us or the Board has asked us to go in for a comprehensive relook at the entire structuring of the company in terms of offices, the locations, also in terms of the distribution channels and what we need to do. And we are right now in the process of boarding a consultant for this process.

So, probably three to six months we will be going through

this entire exercise in conjunction

with the Board and having a look at the overall picture and seeing what are the areas which are holding us back, which are the areas where we need some restructuring, some change, some slight tweaking or a major rehaul overall. So, that is a process we are going through.

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For the current financial year, if you may ask me, two areas, two issues which we need to address directly. See, we are a company which is overly dependent on agency business, right? About almost 87% of my business is through agents, as you know, these are not ID agents in the sense they are not tied to our company alone. They are freelancers and they do business with other companies and other lending institutions.

So, the question is how do we sort of get more business out of them or rather how do we increase their productivity, how do we make sure that the businesses which they are diverting to other companies comes to us and this and that? That would include, of course, one is the, and the cost factor and the rates. And of course, the other part of it is the tax and various other formalities which are also associated with it. So, that we are doing.

And the other part of it, we are also trying to develop an alternate channel. In fact, we are working on two alternate channels. One is the lead business. This was a business which we were not very much focused on. We started off last year and the whole of last year we did about Rs. 800 crores of business through this channel. This is a direct business channel. We get leads through various sources, online and offline. Now these lines are funneled or aggregated together and pushed down the chain to our operating offices who then follow up on these leads and convert them into business.

Last year we did Rs. 800 crores through this channel as we call it. This year we have already crossed Rs. 750 crores in H1 which augurs well for us. Target for this year is Rs. 2,000 crores through the lead channel. So, this is another channel which we had to nurture and we see a lot of potential and scope in this channel. It helps me also because it reduces my cost also because I don't have to pay commission to the agents. This is so cost neutral channel. So, that's one.

And the other, we also have a subsidiary called LIC HFL FSL, Financial Services Limited which is a subsidiary of LIC HFL which was formed basically for doing sort of housing loan business and other businesses of general insurance, life insurance. It was more on the structure of HDB, the housing, HDFC sales channel. So, that is right now contributing to 10% of my business. We are strengthening their channel. We are after them. We are asking them to go in for further recruitments and increasing their marketing force. Here we are looking at getting 15% of our total business to come from this FSL and going forward in the next year, we want them to contribute at least 25% of our business. So, these are what we are doing.

The retail front, quarter-on-quarter, yes, there is a 24% growth in the business Q1 to Q2. So, these green shoots gives us hope that Q3 and Q4, which are traditionally strong quarters for LICHFL, we will see better growth in Q3 and Q4. Only worry is the construction finance and the project finance channel, if I may call it, where the performance has been very, very muted this year. As against Rs. 1,397 crores in H1 of last year, we have only been able to do Rs. 156

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crores for H1 of the current fiscal. So, there is a big dent of almost about Rs. 900 crores there, Rs. 800 crores, Rs. 900 crores there.

But yes, as we said, we continue to be cautious and selective in our upcoming approach to this construction finance segment. But yes, we have a strong pipeline of undisbursed sanctions

which

will be coming forward in Q3 and Q4. So, hopefully this channel contributed about Rs. 4,000 crores of business last year, the construction finance channel. This year we are hopeful that we are going to surpass this. Not by much, but we are targeting at least Rs. 5,000 crores of business from the construction finance channel this year which would come majorly in Q3 and Q4.

Lokesh Mundhra: And Renish, silver lining is there. The last year in the same quarter, average yield on the project finance was 10.35%. So, it has increased to almost 12 approx. %. So, there is an increase of almost more than 200 bps in the project finance yield. So, we definitely are taking selective call on a case to case basis. That is why our margins are intact. We are focusing more on margins.

Renish: Thank you very much, sir, for a detailed answer.

Moderator: The next question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, again, just harping on this question of PLR. So, the last cut was in April, and thereafter we have seen reductions in terms of the repo, and we are seeing the incremental cost of borrowings

also coming off like almost 16-odd basis points, maybe 20, 24 basis points this quarter itself. So, would we be revising the PLR, or maybe now we are good enough with the rewriting rates and new rewriting rates, and there is no need to change the PLR at this juncture because we want to protect the margins ?

Tribhuwan Adhikari: Yes, Kunal , yes. At the beginning of the year , I said this year is going to be a difficult year for us because we would be required to balance our growth of books, growth of disbursement with the NIMs and the spreads , right. So, this is what we had said in the beginning of the year and I had also said that push through the wall. I would prefer to protect my margins and NIMs rather than going for growth of business at which is not very profitable to the company. We have been doing that.

Yes, we have cut our overall PLR by 25 basis points across the board. You may say this is less when compared to the 100 basis point cut in the repo rate. But then the repo rate transmission does take time. Yes, 24 basis points , incremental cost of borrowing has gone down by 24 basis points quarter -on-quarter and about 90 basis points from the beginning, from year -on-year. So, the full transmission has not been felt.

Now going forward, as I said, we would like to protect our margins and while answering to Renish , I had said my construction finance portfolio is down this year, almost Rs. 900 crore deficit. But again, that is a conscious call we have taken. Banks are very aggressive on this front. They are giving construction finance loans almost at home loan rates, which we are not

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comfortable doing. We would like to have some margins in the project and the construction finance business. As CFO said, the margins in the CF business are almost what our yields are, almost 12%, 12.5%. These have gone up from almost 11% of last year.

So, yes, we would like to do business, but definitely we would like to do profitable business. So, going forward, I do not, until and unless something drastic happens on the repo rate front in probably December or something of that sort, I do not see any scope for any further reduction in rates.

Also considering that we have very recently, in the last month, in the month of October , September, October only, we have sort of reduced our rewriting rates quite significantly, almost by 75 basis points. Our early rewriting was at a flat 8.75%. Now we are offering them at the lending rate plus 50 basis points which roughly translates to 8%. So, given these two reductions in the rewriting rate and the overall PLR, I do not see any scope for any further reductions.

Kunal Shah: And secondly, when we look at it in terms of

the overall BT out of Rs. 4,000 odd crores, what

was the request that had come in , and how much we have been able to retain and finally, we saw this BT out of Rs. 4,000 crore s?

Tribhuwan Adhikari: I don't have the figures, Kunal , honestly . Yes, what were the total number of applications received , how much did we retain , and how much went out , I don't have the figure exactly. That can be found out. But yes, overall ...

Kunal Shah: Just wanted to get the sense, since you mentioned like now it will be much controlled with this newer rewriting rates, so just wanted to ensure that maybe was maximum, the BT out was already there, and maybe now you would be able to retain some part of it and that is giving you the confidence.

Tribhuwan Adhikari: Definitely, Kunal. Definitely, right, because at 8.75% even if we had tried to retain, I don't think we could have made much of an impact when banks were offering at 7.5%. It is difficult to retain a customer at 8.75% that you would also allude to. But with the reduction in BT rates, we have seen it in October . Our October BT out has reduced significantly when compared to July or August or even September. And I think at 8% roughly we should be able to retain much, much more as compared to what went out.

See, normally our run rate was about Rs. 2,000 crore s per quarter, and in the last quarter it was Rs. 4,000 crore, straight away meaning that our BT out had doubled. So, I lost almost about Rs. 2,000 crore s. Okay. Out of this Rs. 2,000 crores, even if I assume that Rs. 500 crores would have gone, we could have gone at least a dent of Rs. 1,500 crores definitely , because of higher rates would have taken place. So, probably my book would have grown by Rs. 1,500 crores more had I lowered my rewriting rates at the beginning of last quarter. So, I think that rewriting rates

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reduction has taken place. And Q3, I am expecting the BT to come down to normal at Rs. 2,000 per quarter. I expect that to be at that level.

Kunal Shah: And lastly, in terms of the improvement in Stage 3 and Stage 2, is it largely retail because of this focused correction sell which was there post Q1, or there is some element of corporate recoveries

in this improvement in Stage 3, Stage 2?

Tribhuwan Adhikari: Yes, the asset quality has been improving quarter-on-quarter past four, five quarters almost. Yes. And this is, see, if you understand the recovery thing is not that I do something this month and I get results next month. Especially if you look at our entire book, most of the Stage -3 is pertaining to our legacy loans, particularly 2016 to 2019, and some of these loans, about 10, 12 of these loans are big loans, Rs. 200 crore s and above. So, it does take time, especially the legal process, as you know, in India it takes time. Whether it be the SARFAESI method or whether NCLT or DRT, these all things take time.

So, this is a continuous process which has been going on, and the improvement in the asset quality, which you see is the result of what has happened probably 3 quarters back or 4 quarters back. So, there is no easing on the pressure. We are increasing the pressure. In fact, there is another thing which we have not done so far is there is this willful defaulter guidelines issued by RBI. We have not yet initiated this, but for the, I would say, very obstinate and tough people who are not willing to negotiate, not willing to settle, not willing to talk, I think we need to initiate the process of declaring them willful defaulters and all. That is basically to put on pressure.

So, going forward, I feel this recovery from NPA will improve in this quarter. If I see as compared to the June quarter, my Stage -3 has come down by Rs. 742 crore s. Recovery is happening. Going forward, I am hopeful that two to three big loans, and when I say big loan

s, I

mean Rs. 200 crore s and above, two, three big loans to be settled. They are very close or almost on the verge of settlement or final agreement between us and the borrower. One is in NCLT. We are expecting a decision any day now in the next weeks. So, these will all help us improving the asset quality and reducing the credit costs.

Kunal Shah: No, I was just asking this quarter also, was there any resolution or no? In Stage -2 and Stage -3, the improvement, was it from the corporate or it was from retail?

Tribhuwan Adhikari: It was both corporate. Corporate, I think there was one big loan of about Rs. 140 crore s which got resolved, but the entire thing did not come. I think we got about Rs. 60 crore s of that. The rest is through because it is scheduled, I would say, repayment. The rest of it would come in Q3 and Q4.

Kunal Shah: So, this was in Stage -3.

Tribhuwan Adhikari: Stage -3.

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Kunal Shah: Only Rs. 60 crore s in Stage -3 from the corporate, otherwise the balance was largely from retail.

Tribhuwan Adhikari: Yes.

Moderator: The next question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Thank you for taking the question. And sir, before I do that, may I request the operators that the operator lines and the participant lines are coming great, but the management line, at least for me, is not very great. I don't know about the other participants in the call.

Tribhuwan Adhikari: I try to come closer to the phone and speak so that you can hear me loud and clear.

Abhijit Tibrewal: So, sir, just two questions. First thing is, I mean just a clarification in terms of this PLR changes that we have done total until now, right? Since the time the repo rate cuts have started, how much PLR cut have we taken? Is it 25 basis points or cumulatively 50 basis points? One 25 basis points effective from 1st April and the other one was 28 April thereabouts, is it? Just a clarification on that front.

Tribhuwan Adhikari: Okay, Abhijit, let me. We have made only one. We had changed the PLR only once. That was in the month of April where we reduced the PLR by 25 basis points, right? There has been only one PLR cut of 25 basis points.

Now what has happened is that my book is divided into two parts. There are about 1/3 of my loans, almost 500,000 loans, which are on monthly reset. So, 500,000 loans got the PLR reset from the 1st of May. The moment I declared my PLR cut, they immediately got repriced, 1/3 of my book.

2/3 of my book is on quarterly reset. That means the PLR reset happens on the first day of the next quarter. Since the cut was somewhere in the middle of April, the PLR got repriced from the 1st July. So, almost 1,000,000 loans got repriced from 1st July. Right now, 100% of my book has been repriced by 25 basis points.

Abhijit Tibrewal: So, logically speaking, given that the entire back book has been reset, now what we are going to see is yields might stabilize till the time you take your next PLR cut.

Tribhuwan Adhikari: Yes.

Abhijit Tibrewal: And cost of borrowing should keep improving.

Tribhuwan Adhikari: Yes, cost of borrowing should improve. Transmission, the cost of borrowing should improve further. So, expecting that another 10-basis points reduction in the cost of borrowing by the end of the year.

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Abhijit Tibrewal: And sir, then my second question was, if I look at LIC Housing as a franchise for almost this decade, from maybe 2012 to 2022, we used to operate at lower margins, still deliver respectable ROAs. Because of that growth which was there and which used to give you leverage in the balance sheet, we still used to deliver very respectable ROEs. So, essentially, we were still delivering growth and healthy profitability.

Right now, I am sure early in the call you have made it very clear that we will prioritize profitability over growth, but can't we kind of do some trade-off in terms of margins to maybe at least get to a respectable double-digit growth? Because sir, when I look at it, right, since maybe 2020, the company has not been able to get to a double-digit growth.

I appreciate the fact that it is a much, much bigger franchise now, so growing at the same rate might not be possible. You would have seen, right? All the participants who have participated on the call today, all of them have been asking about what steps can be taken to spur growth. And lastly, sir, the data keeping question. We usually share the segment-wise Stage -3 on the earnings call. If you can also share that with us?

Tribhuwan Adhikari: Yes, Abhijit, yes.

Lokesh Mundhra: Yes, Abhijit. As I said during my reply to Renish and others, this is one question which has been bothering me, growth. Yes, I do agree to what you are saying that we are a big company, Rs. 3 lakh crore s of AUM, so definitely expecting me to grow at the same rate as some of the smaller companies, it is not possible. But definitely this growth of what, 7% or 8%, whatever we call it, not acceptable at all. This is the biggest question which is worrying me, which is worrying the Board as to how do we grow.

One of the methods, I would say slightly what I call an inorganic method, is probably going for co-lending or direct assignment. This is something which we have not at all tried in the past. All our business is totally what we directly source either from agents or through direct business or whatever.

So, definitely, one, there is a scope for getting into co-lending arrangements, into going in for direct lending or direct assignment, which can also boost my book. Yes, that is something which we are exploring. Right now we are framing co-lending and a direct assignment policy, which we will get approved by the Board. The Board also agrees that yes, we need to have a policy and need to explore this particular channel of growing the book. Probably that is one method which we need to deploy or employ, if you may call it. Yes, definitely.

And the other thing, as I said, I think we really need to have a relook at the organizational structure we have, the various marketing verticals we have. Do we need any change? Because something is sort of pulling us back, not allowing us to go. Because one thing is for certain, I will not say that there is no demand for housing loan. There is definitely a demand for housing
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loan. It is only going to grow as I see it. It is only going to grow as the economy grows and the sentiments turn positive. So, definitely, we really need to do something about it.

And yes, this year also, I do not say that we are going to do something exponential in the remaining two quarters. We would be very happy to achieve a double-digit growth both in the disbursement and in the book by the end of March. And traditionally, Quarter 3 and Quarter 4 are good quarters for us.

Last year it was slightly subdued because of certain problems in Bangalore and Hyderabad, two of our major contributors, two of the major regions contributing to our business. So, this year both these regions are back on track. So, this year definitely these two regions will contribute much, much more as compared to Q3 in last year and partly Q4 of last year. So, there will be growth, 24% growth from quarter-on-quarter. We want this growth to go up further.

So, hopefully, there will be growth in business, but again, even our double-digit growth, I don't think would satisfy me. We need to look at ways and means of coming to somewhere around probably 13%, 14%, and I think that is doable with a little bit of structural changes, probably some more ret

hinking, relook or both brainstorming at the corporate level and pushing it down the line. So, we are engaged, we are worried. And hopefully we will be able to turn around the corner in probably one or two years.

Abhijit Tibrewal: And then if you could just share those segment-wise Stage -2?

Tribhuwan Adhikari: Segment wise, yes. No, you want it separately for IHL etc.?

Abhijit Tibrewal: Yes, sir.

Tribhuwan Adhikari: Abhijit , just a minute.

Lokesh Mundhra: Abhijit, you want provision figure for segment -wise?

Abhijit Tibrewal: No, sir. So, if you could share both, one is the Stage -2 for IHL, NHL and project loans?

Lokesh Mundhra: For individual it is 1.15% only. For project, it is project plus Non-housing corporate, so it is 24.88%. Non-housing individuals are 4% only. And total it is 2.51% of the total portfolio.

Abhijit Tibrewal: And sir, what did you say about non -housing individual?

Lokesh Mundhra: Non-housing individual only . Non-housing individual right now we don't have breakup of non -housing. Just let me check it.

Abhijit Tibrewal: So, sir, you said two numbers. One was IHL, 1.15, project plus non -housing commercial, which is 24.88% . And then you said a third number which was non-housing individual.

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Lokesh Mundhra: That's right. The 4%. Non-housing it is 4%.

Abhijit Tibrewal: 2%.

Lokesh Mundhra: 4%.

Abhijit Tibrewal: 4%, okay. That's all from my side.

Moderator: The next question comes from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: So, my question was what is the incremental yield that you are seeing in the business? What is the incremental yield for the disbursements?

Tribhuwan Adhikari: Incremental yield for this first half, it is 8.78% and 8.78% incremental yield as on 30th September '25.

Moderator: The next call comes from the line of Shweta from Elara Capital. Please go ahead.

Shweta: Sir, just to close the argument on PLR front, now given the fact that a larger part of the book is priced at 8% levels, so these are the comfortable levels for you wherein you are confident that BT outs will be restricted and therefore no further PLR tweaks are required. So, is my understanding correct?

Tribhuwan Adhikari : Yes, we have repriced both our existing book as well as the rewriting rates. The existing book is repriced at 25 basis points and our rewriting rates, which were at a flat 8.75%, have been repriced to 50 basis points above the fresh lending rate. So , roughly around about 8%.

I do not say that this will result in no BT out because again, BT out, see, if you see the biggest problems in BT out, when a loan goes out of my book, it enters the other institution as a fresh loan, and naturally the fresh loan rates are lower than the existing loan rates.

So, for example, if I take supposing a loan goes out from my book to State Bank of India, the lending rates at State Bank start at 7.5% or probably he would be getting the loan repriced at probably 7.6% or 7.7%, whereas my repricing is at 8%. So, there could be some customers who would go out because of this 20 basis point difference or 25 basis point difference.

But by and large, I think customers are not so, I would say, sticky on 20, 25 basis point difference if their experience has been good in the existing company. But I am pretty sure that this huge uptick in the BT out, doubling of the BT out if I may say, because as I said, the average run rate was Rs. 2,000 crores and in Q2 we witnessed a run rate of Rs. 4,000 crores. So, the doubling of the BT out will not happen. We expect this to come down to either the original levels of Rs.

2,000 crores or even further probably to Rs. 1,200 -1,500 crores level.

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Lokesh Mundhra : Shweta, our rates for the new business is

very competitive and it is matching with the other

financial institutions like bank and other HFCs. So, if what sir is, what CMD is giving the example, if the customer is having a similar CIBIL score, is offered 7.50% , so if other institutions are offering 7.50% or 7.65%, what sir is saying , but definitely there is some documentation cost, and that documentation cost is almost 40 to 50 bps . In that case , suppose 7.5% and our rewriting rate is just 50 bps above the fresh lending rate . So it is matching only. So, I don't think our business will transfer out. Definitely we are very confident that in this quarter , this BT will be restrict.

Shweta: The second question I had in terms of ECL. When is the annual reset exercise for us as far as ECL is concerned, and what is the period of consideration for us for those PD LGD calculations?

Tribhuwan Adhikari: No, Shweta , PD and LGD is done on a quarterly basis , right? Every quarter we run the ECL model and our EPD and PD, LGD is calculated on a 10 -year database. So, for example, if I take the September quarter, so September quarter 2025, that means the assessment of PD and LGD would be on business done from the 1st of October 2015 to the 30th of September 2025. So, every quarter, three months would go out and three new months would be added to calculate PD and LGD. And what was the first part of your question?

Shweta: Sir, when is the ECL reset exercise that happens?

Tribhuwan Adhikari: ECL reset. Can you just explain that?

Shweta: How many months you consider for calculating the expected credit loss? Like backwards and ahead, what are the periods into consideration for calculating the expected credit loss?

Tribhuwan Adhikari: As I said, PD, LGD is on a 10-year, and from the end of the quarter 10 years back, we take, we go. And any loan, all loans pertaining to those last 10 years are taken, and based on their experiences, the PD and LGD is calculated, and the ECL is based on the PD and LGD. ECL is calculated on the current loan book. Does that satisfy you?

Shweta: Yes, you answered the question by mentioning 10-year period.

Moderator: The next question comes from the line of Kushagra Goel from CLS A. Please go ahead.

Kushagra Goel: Most of the questions are already answered. Just sir, could you give some more color on the competitive intensity. So, I know we have talked a lot about growth, but if you could just talk about more how you see the PSU banks behaving going forward, that would be helpful. Secondly, if you could give some more color that I know we are not reducing PLR and all the impact is there. But can the incremental yields come down further from current levels? How should we think about it?

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Tribhuwan Adhikari: Yes. Kushagra, right. As regards what PSB banks are going to do, I don't know. I do not know whether I can take a call on that. One thing definitely, PSB banks are very, very, very aggressive right at the moment. I do not know why the aggressiveness has come about. Is it something to do with reducing their unsecured lending portfolio? Because housing finance, as you know, is a 100% secured portfolio backed by solid collaterals.

But yes, what we are seeing is PSU banks are very, very aggressive, right? Offering rates as low as 7.35%. Two banks I know are offering new loans at 7.35%, whereas most of the bigger banks, PSU banks, are at 7.5%, where we are exactly right now. So, I believe we are competitive as far as that is concerned insofar as that is concerned.

So, yes, and unfortunately, we are a housing finance company. We are not a bank. But the segment we operate in, if you look at my book, it is almost 85% salaried and probably 10% self-employed and another 5% to non-housing corporates, etc. So, the segment we operate in is exactly the segment in which the banks are operating. So, quite naturally, there is a lot of

turally, there is a lot of

competition, there is a lot of pressure, and banks are very, very aggressive as I said.

Even in the construction finance book, which we are not doing very well at the moment, banks are very aggressive in the construction finance space also. There are cases which have come to me where PSUs have offered rates which are almost at par with the individual lending rates, and these are rates being offered to construction finance companies, which we are not very comfortable with. We would not do. So, yes, the competition is intense. The competition is quite aggressive.

Nothing we can do right now. Overnight it is not going to change. I cannot ask my people to stop selling to salaried customers and totally focus on the self-employed. Yes, we are trying to change. We are trying to change our product mix so that we are a little more, I would say, focused on the self-employed segment and the other segment, as I said, affordable, we explored it last year.

We are very, very slow, cautious on that segment. We are growing the book, but we are at a very slow pace, and we are comfortable with that. We don't want to take an aggressive stand on that and enter into problems. We are first trying to set up a new team, completely separate team for the affordable segment. Something like what PNB has done for its Roshni vertical. It will take two, three years' time. I do understand that. But yes, at the moment, competition from the public sector is very, very intense. And the other part, what was the second question? Kushagra, I just forgot.

Kushagra Goel: That was on the incremental yield. How that impacts?

Tribhuwan Adhikari: Yes, the incremental yield.

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Lokesh Mundhra: Kushagra, yes, so incremental yield for this H1, that is 8.78%. So, we don't see any downside in yield part. But on the other side, on the incremental cost of borrowing, definitely we are expecting 10 to 12 bps downside. So, definitely our spread would be in line with our expectations.

Moderator: The next question comes from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Most of my questions are answered, but just two things. First, on the borrowing side, this borrowing which you sourced in Q2 at 6.73%, can you tell us mix? And also can you tell us the fresh pricing for NCDs for bank loans and whether the whole repo benefit on the existing bank

loans had already come through?

Tribhuwan Adhikari: Yes, so, Rajiv, our borrowing structure is almost 55% is fixed, what we have raised through NCDs, and almost 45% is floating. So, whatever we have raised funds at floating rates mostly from the banks only and the total average borrowing cost is 7.42%. And this year, definitely we are focusing more borrowing through banks only. This quarter, almost 92% , 93% we have borrowed from banks.

Tribhuwan Adhikari: 0:59:46

Rajiv Mehta: But can you quote the fresh bank loan pricing? I mean, is it below 7? And how much is it for the new facilities that you would have taken from banks? And similarly, if you would also raise, say a 3-year, 39-month NCDs in the market right now, what will be the cost of NCDs?

Lokesh Mundhra: Yes, so banks, this quarter we have borrowed from banks between 6.75% to 6.90%. In between 6.75% to 6.90% and NCDs we have raised around 6.89% to 6.90%.

Rajiv Mehta: And just one last thing. In terms of new home loan re pricing, which I think we last reduced in June by 50 basis points, so given the fact that we want to preserve margins even at the cost of growth, if the competition were to become more aggressive in terms of new loan pricing, we should not follow competition. That seems to be the approach. Is that understanding right?

Tribhuwan Adhikari : Yes. No, it's not 50 basis point cut. We have cut the home loan rates or the PLR, if you may call

it, by 25 basis points in the month of April. After that, there have been no PLR cuts.

Rajiv Mehta: No, sir, in June, I think June you reduced the new loan pricing by 50 basis points to 7.5.

Tribhuwan Adhikari : New loan, yes, new loans, yes.

Rajiv Mehta: Yes, new loan. I am talking about new loan.

Tribhuwan Adhikari : Yes, new loans, we brought it down by 50 basis points to be competitive with the rates being offered by the PSUs, which is at almost 7.5%, by and large. And we are also at 7.5%. So, that
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has already been done. Now, assuming the same scenario continues, I do not see any scope for any further reduction in the pricing for new loans. I think we are fairly, fairly competitive enough. I don't see any way we can afford to bring it down any further.

Because as I said in the beginning of the year, we need to balance growth along with our spreads and margins. And given a choice, I would like to protect my spread and margins as compared to going aggressively for, I would say, non-profitable growth. So, we intend to follow that same trajectory. And I think as far as I am concerned, the new loan rates are where they are and we would like this to continue for the rest of the year until and unless there is something majorly happening, probably in the December MPC or nearby or somewhere near that.

Moderator: The next question comes from the line of Bhaskar Basu from Jefferies. Please go ahead.

Bhaskar Basu: I had two questions actually. Firstly, what would be the yield on the portfolio of home loans? You gave the total portfolio yield of 9.24%, but the home loan yield for the portfolio? And also just wanted to understand how does this whole rewriting thing work. Someone who is looking for a balance transfer, you offer an 8% yield for them.

Tribhuwan Adhikari: Yes, I will come to the rewriting part. As regards the sort of yields, CFO will answer it. Coming to the relating part of it, yes, over a period of time the loans would have been given at various rates of interest, and depending on the increase in PLR or lowering of PLR, the rates would have been reset either monthly or quarterly.

And right now, the customer would be standing with a particular rate of interest. Whenever he comes to us for a rewriting request, we do assess his CIBIL score because rewriting rates are not flat 8%. They are dependent on the CIBIL score of the borrower as on date. So, we would be assessing the score and the other risk factors associated with the loan. And based on that, we would be giving him a rewriting rate at which we would rewrite his loan.

Broadly speaking, the rewriting rate is at 50 basis points higher than the lending rate. Right now, lowest lending rate is 7.5%. So, add 50 basis points to that, so that comes to roughly 8%. It does not mean that everybody gets rewritten at 8%. It would also depend on the CIBIL score and other risk factors associated with it. So, that is about the rewriting, and as regards the yield on the various ...

Lokesh Mundhra: Yes, Bhaskar. So, segment-wise as of 30th September '25 for individual housing loan, it is 9.24%, and for non-housing individual, 10.22%, and for non-housing corporates, including project finance, it is 10.54%. The average is 9.40% for this as on 30th September '25. On incremental basis, segment-wise, IHL is 9.03%, non-housing individual is 10.21%, and non-housing corporate including project is 10.47%.

Bhaskar Basu: So, my connected question was that, say, your overall housing portfolio is sitting at around 9.24% I understand that there will be various borrowers at different categories of CIBIL score,
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but this is still fairly well above your rewriting rate. So, don't you see a lot of these borrowers coming for reset or at least coming down to that

8% or whatever the rewriting rate? So, my question is whether this back book continues to reprice going forward even though you may not have another PLR cut?

Lokesh Mundhra: For rewriting that 8% is a minimum rate. If a customer is having the highest CIBIL score, more than 800 points, in that case we are offering 8%. For new business it is 7.50%, but it depends on the CIBIL score of the customer. The 8% is a minimum rate for rewriting.

Bhaskar Basu: No, that I understand.

Tribhuwan Adhikari: Bhaskar, I do agree, yes, by reducing the rewriting rates. The question is do we expect all people to come to us for rewriting? No, that usually doesn't happen. That usually doesn't happen. If you take the experience of Q2, out of a book of 15 lakh loans, a total of 13,715 customers took a BT, right, transferred their loans from us to the banks.

By and large, I would say the rewriting would happen for what, in a quarter, about Rs. 1,000 crores, Rs. 1,500 crores of business. So, it is not that my entire bank book is going to get repriced because of the rewriting facility which I offer. But yes, definitely people will be coming and going, and anybody who is probably at 8.5% or more than that would definitely want to reprice his loan at 8% or near abouts.

Bhaskar Basu: Right. So, I get it. So, basically, there will be some repricing which will continue, obviously not to the extent of the PLR cut, but at least a reasonable portion of your back book will continue to see some repricing.

Tribhuwan Adhikari: It is a call. Rather than have Rs. 4,000 crores of business go out of my books completely where I earn nothing, it is better to get something at 8% given my cost of borrowing at 6.7% to 6.75%, earn at least 1.25% rather than nothing at all.

Bhaskar Basu: Just one last question on the OPEX side, we saw a sharp decline in the employee cost. Any specific reason for that? And how should we think about sustainable employee cost, etc.? It was like Rs. 140 crores versus--

Tribhuwan Adhikari: Bhaskar, last year was, let me call it a year of wage revision and IAC, right. The wage revision of all the employees in the company was due. So, we were making provisions all through last year. Every quarter, we were making provisions for this, what you can call it, the supposed increase in the salaries of the employees.

So, now that the wage revision has been done, the salary cost is now fixed. There is not going to be any other. There is no impending wage revision until the 1st of August 2027. No provisioning for wage revision is being made. So, that is the reason why the salary cost has come down.

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Bhaskar Basu: But, say, for example, between 1Q and 2Q, 1Q was like Rs. 160 crores, 2Q was Rs. 140 crores. So, where is the kind of, how should we think about the run rate actually? Whether 1Q is a better benchmark or 2Q?

Tribhuwan Adhikari: Salary cost, you have the breakup. This was basically the impact of provisioning only. I don't see any reason why our, just a minute. Yes, employee cost, the actual for Q2 FY '25-'26 was 143, right?

Bhaskar Basu: Yes. And 1Q was 160.

Tribhuwan Adhikari: Q1 was 160.

Bhaskar Basu: 160. So, even between 1Q to 2Q, we have seen a Rs. 20 crore drop.

Tribhuwan Adhikari: I think the employee cost would remain at the current levels, I think Rs. 143 crore, at the most probably Rs. 150 crore, not more. There is nothing which is going to get added to employee cost, except probably in Q4 where we do make provisioning for gratuity. I think Q3 is going to be in the Rs. 150 crores range. Should not be Rs. 160 crores which what it was in Q1, probably be in the range of Rs. 150 crore. Nothing has been done which is going to increase my employee cost. No new hirings or anything of that sort.

Bhaskar Basu: That's all from my side.

Moderator: The next question

comes from the line of Subramanian Iyer from Morgan Stanley. Please go ahead.

Subramanian Iyer: My questions have been answered.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for closing comments. Over to you, sir.

Tribhuwan Adhikari: Thank you. Thank you, friends, for your questions and the concerns which you have shared for the company. Yes, overall the company is doing well in all fronts except the growth front, as all of you alluded to. And as I said during my conference call, this is something which is worrying us, not only the management, the Board also. This is something, if I may call it this, we need to

get out of this trap and move forward towards an assured path of growth which continues quarter - on-quarter. We are working towards that on various fronts.

Q3 and Q4 traditionally are very strong quarters for the company , and going by the situation in the market at present, as far as demand is concerned, as far as all the other factors are concerned, I think are all positive. There is nothing which I see in the horizon which is going to sort of retard our progress or stop our progress from going aggressively in these two quarters. As I said, Q1

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to Q2, we have seen green shoots already, especially on the retail front, 24% growth displayed in Q2 as compared to Q1.

So, I believe that Q3 is going to be even stronger. And going forward, the company expects to do better both on the disbursement front, the loan book front . The asset quality front is doing well progressively, and we will continue to grow progressively. The asset quality is going to improve. Provisioning requirements are going to be reduced . And some big resolutions are expected . Hopefully all this put together will turn out, will transform Q2 into much stronger quarter for LIC Housing Finance. Look forward to your assured support and cooperation. Thank you. Thank you all.

Moderator: Thank you . On behalf of LIC Housing Finance. That concludes this conference. Thank you for joining us today and you may now disconnect your lines.

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"LIC Housing Finance Limited Q3 FY'26 Earnings
Conference Call"

February 02, 2026

MANAGEMENT : MR. TRIBHUWAN ADHIKARI – MANAGING DIRECTOR
& CHIEF EXECUTIVE OFFICER
MR. LOKESH MUNDRA – CHIEF FINANCIAL OFFICER
MODERATOR : MR. PRAVEEN AGARWAL – AXIS CAPITAL

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Moderator : Ladies and gentlemen, good day and welcome to the LIC Housing Finance Q3 FY26 Investors Earnings conference call hosted by Axis Capital Limited .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now handover the conference to Mr. Praveen Agarwal from Axis Capital. Thank you and over to you, sir.

Praveen Agarwal: Thank you. Good morning, everyone and welcome to this Earnings Call of LIC Housing Finance.

Today with us we have Mr. Tribhuwan Adhikari – MD & CEO, Mr. Lokesh Mundra – CFO. I would request Mr. Adhikari to share his initial remarks , post which will open the floor for Q&A. Over to you, sir.

Tribhuwan Adhikari: Thank you, Praveen. A very good morning, friends, and welcome to the Post-Earnings Analyst Call of LIC Housing Finance Limited. As you are aware, LIC HFL declared this Q3 Financial Year '26 Results on 30th of January.

Before I start with the highlights of Q3 Results , I would like to outline a few developments in the economy over the last quarter and recently :

In line with market expectations, the RBI in its December MPC reduced the repo rate by 25 basis points supported by a benign inflation outlook. Following this, the company also reduced its lending rates on new home loans with effect from 22nd of December 2025. We are now offering home loans at 7.15% onwards on individual home loans, which is one of the lowest in the industry.

Liquidity conditions which were comfortable at the beginning of Q3 due to RBI's liquidity infusion through a 75-basis point CRR reduction is over October and November, tightened from mid-December. This reversal was driven by factors such as sustained currency market intervention, seasonal tax outflows , and high credit offtake in an environment of relatively subdued deposit growth. In response, the RBI announced multiple liquidity management measures including enhanced VRR operations, U.S. dollars and INR buy-sell swap, open market interventions with the objectives of ensuring adequate liquidity transmission and supporting orderly market conditions.

The 10 -year benchmark G -Sec yield remained under pressure over the last of the past few weeks, and amid fading expectations of a near -term rate cut by the RBI, yields have further hardened

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today following the union budget announcement which happened yesterday, which projected a 16% increase in government borrowings for FY26 -27, compared to the budget estimate for the current year.

Overall, the interest rate environment remains dynamic during the quarter, influenced by evolving macroeconomic indicators and policy actions.

With this, we present the financial highlights of the company for the quarter as follows :

Total revenue from operations was Rs. 7,187 crores, as against Rs. 7,057 crores for the corresponding quarter of the previous year, a growth of 2%. Outstanding loan portfolio stood at Rs. 3,14,268 crores as on 31st of December 2025, as against Rs. 2,99,144 crores as of 31st December of last year, reflecting a growth of 5%. Of this, the individual home loan portfolio reported a growth of 4% and comprises 85% of the total portfolio.

Total disbursements for Q3 of FY26 was Rs. 16,096 crores, as against Rs. 15,175 crores for Q3 of FY25, an increase of 4%. Of this, the individual home loans disbursement was Rs. 13,094 crores, as against 12,248 crores in the corresponding quarter of last year, up by 7%.

And non -housing individual loan segments were at Rs. 2,304 crores against Rs. 2,094 crores, showing a growth of 10%.

On

the net interest income front, NII was Rs. 2102 crores for the quarter, as against Rs. 2,000 crores for Q3 of last year, by 5%, and as compared to Rs. 2,038 crores for Q2 of the current fiscal. Net interest margins for Q3, FY26, stood at 2.69%, against 2.62% for Q2 of FY26, and 2.70% for Q3 of FY previous year.

Profit before tax for the quarter stood at Rs. 1,742.51 crores, as against Rs. 1,793.44 crores.

Profit after tax for the quarter stood at Rs. 1,383.95, as against Rs. 1,431.96 crores for the same period in the previous year.

In terms of asset quality, the Stage -3 exposure at default stood at 2.45%, as on 31st December 2025 , as against 2.75%, as on 31st December 2024 , and as against 2.51%, as on 30th of September 2025. Total provisions as on 31st December of 2025 is Rs. 5,105 crores, which translates to a provision coverage ratio of about 54% on Stage -3.

On the funding side, we witnessed a continuous improvement in our borrowing costs during the quarter. The overall cost of funds declined to 7.28%, as compared to 7.4 2%, as on 30th of September, reflecting a sequential reduction of 14 basis points. On a year -to-date basis, the cost of funds has reduced by 45 basis points, from 7.73% as on 31st March 2025.

The outlook for the coming quarter remains positive, as Q4, that is, Jan -Feb-March, is always the best in terms of business for the company, and roughly 30% of our business for the disbursed

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during the entire year comes during the quarter. This gives us conviction of a good financial year in the coming quarter.

With this brief introduction, I would like to invite you for your queries. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Nis chint Cha wathe from Kotak. Please go ahead.

Nischint Chawathe: Thanks for taking my question. The first one was actually on growth. It has almost been like 3 years since our disbursement growth is in single digits. We have seen some of the peers, some of the banks kind of growing faster. So, what is your view out there? Is it something that we are losing out? Is it something that you will probably make a step up in investments, in disbursements to kind of go ahead and gain market share? I understand a part of it is to do with the industry. But still, even on a market share basis, you could probably step up a bit. In that sense, what is your strategy or what would be outlook for growth out there? And in the backdrop of this plus the capital position that we are sitting, do we really see dividend payout ratios going up?

Tribhuwan Adhikari: Yes, Nis chint, I will take your disbursement growth question first. Well, first of all, as far as the industry or the overall market is concerned, well, a lot of competition in the market is what we are witnessing right now. Now, LIC Housing Finance, as you all know, as I said in my opening remarks also, we are 85% in the individual home loan business. My total disbursement is 85% comprises individual home loans. Amongst the individual home loans also, we are mostly into the salary segment, not too much into the self -employed segment. There is a tremendous competition, especially from banks . The dichotomy is that we are borrowing from banks and competing against them also. So, this quarter particularly, I would say with the RBI cutting rates, there is an intense rate war in the market. And that probably led to a little bit lesser disbursement than we anticipated.

Beginning of the year, I was very clear that this is going to be a challenging year and given a fight between growth and protecting margins, we would be protecting our margins. So, we have been cautious in reducing our rates. The Indian market as such, the housing finance market, people are very , I would say conscious of rates. So, that was one of the constraints in this quarter. W

ell, yes, we have taken a call slightly late, albeit a little bit late. We have cut our new loan home rates to 7.15%. It is among the best in the market right now. And towards the end of December, we did see some traction. This change took place on the 22nd of December. So, some amount of traction in December. In January, again, the traction is showing. Going forward, traditionally, as I said, January, Jan -Feb and March are the best, is the best quarter for us. 30% of our business comes during this quarter. This year, we expect the share to go up higher, probably 35 %-37%. So, going forward, yes, we expect the disbursement to pick up . And right now, our book growth is at, coming to the book growth, yes, it is now at 5%, expecting this to improve in Quarter 4 .

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Now, coming to the dividend payout ratio, well, that is a call which the board will have to take, right? Right now, the profit figures are reasonably okay , not anything substantial, but we expect to end the year with at least a 7% increase in profits, about 7,200 crores is what I expect. Now, going forward, let us see how the board takes a call. We have been declaring about 500% dividend. So, let us see how it goes. So, it is difficult to give a call on the dividends because that is a call to be taken by the board.

Nischint Chawathe: Got it. So, let me put this a little differently. See, what I was really looking at is a growth on a 2-3-4 year basis. I mean, if you are growing at 5% to 6%, probably you step up, maybe you can grow at around 8% or 9% or maybe 10%. The point is that is there a plan to kind of say as to what gives trajectory to grow at a mid -teen level or not at a significantly higher level to step up over there over maybe more from a 2–3-year period. And if the visibility even from a 2-3 years period is at low levels, then probably there can be some thought process in terms of capitalization levels as well. I think that's where I was really coming from.

Tribhuwan Adhikari: I do agree. Right now, to be very honest, we are caught off in a sort of a trap. We are mostly into the individual home loan segment, that to the salary segment. And there, honestly, with so many players, especially the banks being so aggressive in the market right now, that is not where the growth is going to come from. I think the growth is going to come from the self -employed and the affordable segment. And that is where most of our, the HFC peer group is growing. We have made a foray into the affordable housing segment. We are growing it slowly. We are growing it slowly because again, this is something which we have not done in our 36 -year history. So, very cautious about it. But going forward, this is surely going to improve. The other thing is we are also looking internally at the structure of the organization and the way our marketing vertical is structured. For this, we are in the process of onboarding, special institutions like the Big Four, the IIMs, etc. We are going into a complete relook at our structure and see what we are doing differently from our competitors, which is giving them better growth and not giving us the kind of double -digit growth we desire. So, the onboarding will happen in this month, month of February, and the work will start in the month of March. So, probably by the end of April or May, we have a concrete plan in place which we intend to implement to restructure ourselves for better growth in the coming years.

Nischint Chawathe: Perfect. And just one last question is, how much juice is there in terms of funding cost to come down further?

Tribhuwan Adhikari: The funding cost?

Nischint Chawathe: Yes, to come down further.

Tribhuwan Adhikari: Cost of borrowing. As I said that sequentially there has been a 45-basis point decrease in our cost of borrowing compared to December of last year. Quarter -on-quarter als

o we see.

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Nischint Chawathe: No, how much is the juice going forward? Do you see any visibility for borrowing cost to come down further based on repricing or any of those things?

Tribhuwan Adhikari: Well, difficult . We have to see. This year, we have made a conscious change in our strategy. And if you remember, we talked about it in the con-call earlier, my ratio between fixed cost borrowing and repo rate borrowing or the flexible rate borrowing was, last year was 55 fixed and 45 floating. This year, we have consciously brought it down or rather focused on floating rate borrowing. To be clear, we are mostly focused on borrowing from banks which are repo rate

linked. So, whenever there is a repo rate cut, we get the benefit passed on to us. We have been successful now today as on 31st of December, my fixed and floating, the ratio stands at 50 -50. So, we have been able to bring down my fixed rate borrowing by 5 basis points and increase my floating rate borrowing by 5 basis points. Now, borrowing from banks presents its own problems, as I said. Yes, they are our competitors. Right now, banks, NIMs also are under pressure. So, banks are not very keen on lending at very lower rates or aggressive rates. But yes, I feel going forward, there is not going to be much, not going to be much. 14 basis points cut what was what we got from Q2 to Q3. Probably 5 to 7 basis points is what we can look forward in Q4, further reduction in our borrowing cost by five basis points.

Nischint Chawathe: Perfect. Thank you very much. Those were my questions. All the best.

Tribhuwan Adhikari: Thank you.

Moderator: Thank you. The next question is from the line of Nishit Shah from ViSolitech Investment Advisor. Please go ahead.

Nishit Shah: My question was that if we look at the loan mix, 99% of your loan is floating. And when we see at the funding mix, it is 50 -50. Why is this discrepancy? Because ideally, you should match ALM as well as your fixed to floating lending or is there any strategic advantage that we get by keeping 50 -50?

Tribhuwan Adhikari: No, Nishit, there is no strategic advantage in having 50% of your borrowing at fixed when 99% of your book is floating rate. Now, the problem is, where is the money in the market? I ideally would want the banks to give me 100% of my loans. But I do not think RBI would allow that because RBI wants the banks to be del leveraged as far as the funding, certain sectors, all sectors is concerned. So, slowly, consciously, we are trying to bring it down. As far as the ALM is concerned, our ALMs are perfectly matched. There is no mismatch in our ALM. As far as the regulatory guidelines, we are perfectly matched in each and every bucket. So, there is no issues. Yes, going forward, we are trying to move to more of floating rate borrowing than fixed rate borrowing. Then again, the availability of liquidity, availability of funds, it all depends on that because I need to borrow money to fund my disbursements.

Nishit Shah: So, we are constrained because of availability. Is that the right way to look at it?

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Tribhuwan Adhikari: Yes. The constraint is because of availability. Because of 2,70,000 crore s book, 50% would be 1,35,000 crores. And first of all, whatever is my fixed, it is a fixed duration, fixed tenure borrowing. And they only got of my books when the tenure or the tenure gets over. So, slowly, slowly, they will move out. And as they move out, we will be looking to move towards the floating rate borrowing. But at the same time, again, you need to be diversified also. And I think a good strategy would be to not put all your eggs in one basket and rather diversify them. So, good to have a mix of fix and floating. Again, the mix, you can question the mix, whether 50 -50 is a good mix or say 35 -65 in f

avor of floating is a good mix. That can always be a point of conjecture, but it is always good to be diversified.

Nishit Shah: Because what is happening is, because of our change in rates are much slower, the difference between banks to an existing borrower, not the new borrower, the existing borrower, what happens is that he is looking actively to switch rather than stay and wait for the rates to come down. I think that is what is happening with us right now. There are more switching, which is happening because it is a slower transition, I guess.

Tribhuwan Adhikari: To answer your question, yes, that is what has happened. And in Q3, we have witnessed that because as soon as the repo rates are cut, the banks are directly linked to the repo rate and automatically their loan for new as well as existing borrowers undergoes a change, which does not happen in the case of HFCs like us. Yes, as I said, trying to protect the margins, we were a bit slow. We did not lower our prime lending rate, but what we did was we have a feature called rewriting, in which customers can come to us and ask us to appraise their lending rates and rewrite it at a lower rate. We have reduced our rewriting rates in the month of October. Of course, going down the line, it took some time. So, now I think the rewriting, which was about 3,300 crores in Q3, now it has come down to sustainable and manageable levels in the month of January, as I see it. So, that is the option we are offering to our borrowers. So, what we are basically offering in the form of rewriting is the lending rate or the rate we offer to a new borrower plus 50 basis points. So, that is the rate we are giving, which I believe is logical, reasonable and competitive. So, we have this option of rewriting their loans by approaching us.

Nishit Shah: And the last question would be, because LIC being our parent, we have a huge distribution advantage, which I think not many would have. So, diversifying our books to say affordable or emerging market, because as it is, you have almost, in all PIN codes, LIC has some presence or the other. So, wouldn't that be a much better option? Because the differential in rates in affordable and in prime lending are very -very significant.

Tribhuwan Adhikari: Yes, Nishit, you are perfectly right. Differential rates are available and affordable as compared

to prime lending, which is very -very competitive. The other part which you talked about, yes, it is presumed or the general mindset is that being children of LIC or our parents or promoters being LIC, we have the advantage of the huge 14,50,000 or almost 15,00,000 crores of agents which LIC has is disposable. Unfortunately, that is not true. That hasn't happened over the past year. And even now we are engaged with LIC on how do we synergize the marketing resources LIC Housing Finance Limited
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which we have between LIC HFL and LIC. There are some traditional mindsets working in the sense that the LIC branch managers feel that if my agent takes up LIC housing finance, he will stop doing insurance and so on and so forth. We try to talk to; we are consciously engaged with the senior management of LIC and trying to churn out a sort of synergized strategy. In fact, the management of LIC has on boarded a special consultant to work on all the synergies between all the various subsidiaries of LIC and LIC of India. So, going forward, yes, I think in the coming fiscal, I think we will see a lot more of LIC agents marketing our home loan products, which should give us a very good boost as far as growing our disbursement book and loan book is concerned.

Nishit Shah: Just one small suggestion, since the next presentation, whatever new initiatives that you are taking, for example, having consultants and that, so you just put it in the presentation so that the wider audience is aware what is happening, because more of

it is sentiment rather than the performance, which is dragging our stock prices.

Tribhuwan Adhikari: Point taken, fully agree with you. Next presentation, you will see this.

Nishit Shah: Thank you very much.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, firstly on balance transfer, after having reduced the rewriting rates, how has been the trend on the balance transfer side? If I heard you correctly, you mentioned like Rs. 3,300 crores, which was last time 4,000 odd crores in Q2. Is that the right number?

Tribhuwan Adhikari: So, as I said, Q2, our BT-out was Rs. 4,014 crores. In October, mid-October, we took this call to reduce our rewriting rates that resulted in the entire of Q3, it has come down to Rs. 3,300 crores. And traditionally, the average is about Rs. 800 crores to Rs. 900 crores. I think January, I don't have the exact figures right now, but January probably would be I think Rs. 800 crores of BT-out. So, BT-out is decreasing, BT-out is decreasing. And because of our lower interest rates in new home loans, we are seeing a bump up in the BT-in. So, net-to-net, the business loss has been marginalized, minimized. And I think in Q4, of course, traditionally, it has always been BT-out more and BT-in less. So, net is out. I personally believe, with the attractive rewriting rates that we have offered and the very competitive lending rates which we are giving, I think net-net, we should be able to dramatically decrease the net BT-out, which we have been witnessing in the past two quarters.

Kunal Shah: So, given that the overall run rate is still Rs. 800 crores – Rs. 900 crores, so we should still see Rs. 2,500 to Rs. 3,000 crores continuing even in the next quarter.

Tribhuwan Adhikari: No, I think next quarter it will not be 2500-3000 crs because if I take 3,000, 3,000 would be what, roughly Rs. 1,000 crores per month. You are talking about the net or you are talking about the gross BT-out?

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Kunal Shah: No, gross, you mentioned like in January, it was still Rs. 800 crores - Rs. 900 crores.

Tribhuwan Adhikari: So, it will be, I believe it will be in the region of 22 to 25 and 25, I believe, would be on the higher side. I think we should be able to restrict it by up to 22, probably.

Kunal Shah: So, but still after the reduction, also not much of benefit which is coming in, maybe it's come down, but definitely not to the levels which we had seen earlier because of the competition that is on.

Tribhuwan Adhikari: No, if you compare Q2 and Q3, Q2 was when we took the full hit of Rs. 4,000 odd crores and Q3, Rs. 3,300 crores. So, Rs. 700 crore's reduction in one month and that too, we announced this rewriting mid-October. Yes, and any change, any change in directions, does take time in reaching the customers. So, I think November and December, November, I believe it would have percolated down. So, probably December, the effect would have come. So, it's not the full effect which you have seen. Despite the partial effect of this rewriting, which we have offered, we have seen a reduction of 700 crores approximately in the quarter. So, now that the messages are all through, we have advertised it, publicized it very extensively. We have sent mails to all our existing customers. So, definitely there is going to be a more, further, better reduction in Q4 as compared to Q3.

Lokesh Mundra: So, actually, we have reduced our lending rate to 7.15 onwards in December only. And now,

what we are offering, we are just giving 50 bps plus on our fresh lending rate. So, effect of this BT-out will definitely come down in the next quarter, Q4, because the rates were reduced in December only.

Kunal Shah: Yes, got it. And any plans to reduce the PLR? Last time, you clearly indicated no plans to reduce the PLR. But now, given

no doubt you have reduced it on the new home loan rate. But we have not put the PLR on the entire outstanding portfolio assets. So, with this BT-out coming down, there is still no plan to cut the PLR?

Tribhuwan Adhikari: No, we have not, Kunal. We have consciously not cut the PLR, but we have cut the existing rate, entire portfolio of our, or the entire book by 25 basis points. So, it has not been a PLR reduction, but we have given a benefit of a reduction of 25 basis points on the existing lending rate to all existing customers.

Kunal Shah: So, this was with effect from ?

Tribhuwan Adhikari: I think it was effective from April of this year.

Kunal Shah: So, maybe this 25, which was done in April, post that there is no change.

Tribhuwan Adhikari: Yes, in April, we made this cut of 25 basis points for all, for the entire loan book. So, some of it went through in April for those with monthly resets and those with quarterly resets. It went

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through in, from the 1st of June. So, a 25 basis point cut has already happened without reducing the PLR. Going forward, let us see if we get a distinct advantage in the lower lending rates. We can think of a PLR cut.

Kunal Shah: So, we can evaluate that. And the last question was on corporate resolution. Anything, maybe you indicated Q4, you had a strong visibility. So, has it improved further with respect to corporate resolutions in the fourth quarter?

Tribhuwan Adhikari: Oh, nothing sad, but nothing great to report on that front. These corporate resolutions, most of these are big loans, upwards of Rs. 200 crores, Rs. 250 crores, Rs. 400 crores, Rs. 500 crores.

Yes, lots of progress made, lots of progress made. And these big corporates, big loans, big builders, they use every opportunity at their disposal, all courts, DRT, etc., to stall our expectations. But yes, there is a lot of forward movement in many of these corporate loans. A few of them could crack at any point of time. So, again, keeping our fingers crossed, keeping our fingers crossed, expecting many of them to crack, but could happen, anything could happen. Suddenly, you could see 2-3 big loans probably resolved during Q4, but you cannot give a guarantee, because these big loans, big money involved, big corporates involved, big builders involved. Last minute, we have seen in Q3 rather, at least two cases where almost resolution was totally in sight, last minute they backtracked.

Kunal Shah: Got it. Thanks. That's it from my side.

Tribhuwan Adhikari: Thank you, Kunal.

Moderator: Thank you. The next question is from the line of Sanket Chheda from Dam Capital. Please go ahead.

Sanket Chheda: Hi, sir. So, just wanted to get a sense on disbursement. You said that Q4 disbursement could improve. Last couple of quarters, we have been talking around 16,000. So, how the January has gone by, if you can give us any quantitative sense on that?

Tribhuwan Adhikari: Jan is about 6,000, exact figures I do not have. Jan is about 6,000, better than your December. And going forward in Q3, I expect disbursements minimum to touch Rs. 20,000 crores. Q4 should minimum be Rs. 20,000 crores in retail. I am not adding project to it. So, Rs. 20,000 crores in retail and about Rs. 1,500 crores to Rs. 2,000 crores in project should get us to Rs. 20,000 crores, Rs. 22,000 crores in Q4.

Sanket Chheda: And how do we see a margin from here on, have we seen any uptick on the NCD cost, whatever NCDs are coming for replacement of late?

Tribhuwan Adhikari: No, not much. I think we have about Rs. 7,000 crores - Rs. 8,000 crores. Yes, it is Rs. 7,799 crores to be exact NCDs which are approximately priced at about 8%. Yes, these are going to go out of my books in the next up to March. And as far as new borrowings are concerned,

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liquidity in the m

arket. And now with the government having announced huge borrowings in Q3, I do not know what the rates are going to work at. Since yesterday, we hear that the rates have really blown up. So, keeping our fingers crossed and hoping that because -because the borrowing cost is very -very important to us. In fact, entire margins depend on that with a lot of pressure on new home loans being offered at very competitive rates. The competition with banks

is very intense. But yes, I am happy to tell you that we have been able to protect our margins, NIMs at 2.69 I guess 2.62 at the end of previous quarter. So, there has been an uptick of 7 basis points. Going forward, I do not expect this going up to, we are given a guidance of 2.6 to 2.8 at the beginning of the year. Definitely, we will be within the guidance. But I expect it to be somewhere around about 2.70, 2.72, 2 -3 basis points improvement is what I expect in Q4. Sanket Chheda: And lastly, how much time more in your term and is it likely to get re-term for you?

Tribhuwan Adhikari: Well, I superannuate on the 31st of August 2026.

Sanket Chheda: Sure, sir.

Moderator : Thank you. The next question is from the line of Gaurav from JP Morgan. Please go ahead.

Gaurav: Thank you. I just wanted to understand a bit better about both the demand dynamics in the market as well as your ability to deliver the 10% growth that you had initially guided for. In terms of subprime mortgage housing volumes, we are seeing that volumes are coming up consistently for the last few months. Sales value are declining. How do you think about this entire demand outlook over the next few months? And what do we need to see to get to a higher growth level?

Thank you.

Tribhuwan Adhikari: Yes, Gaurav , honestly, yes. I would not say the market has been very compressed or anything of that sort. I think the demand is normal. What we witnessed in Q1, Q2, Q3 was there. To some extent, I personally feel – of course, there has been no study on that – but Indian customer, as I said, very rate conscious and with RBI cutting rates, almost 125 basis points since Feb of last year. A huge clamor in the market that probably February MPC will see another rate cut, etc. So, somewhere I get the feeling and there is feedback I get that people are willing to wait for probably another one month, 2 months, 3 months, wait for the rates to come down further and take the benefits of new rates. So, that is probably one reason why there has not been too much growth in demand . Number two, I would feel that yes, the intense competition also is creating a very savory situation in the market because all companies after the same borrower – borrowers are limited, especially prime borrowers, if I talk of prime borrowers, the segment in which to – mostly into which we are in, the prime segment. So, many companies chasing the same borrower, huge rate war going on. So, that, again, probably not leading to a free flow of the borrowers unable to decide in a quantity what to do, wait, watch, or go for the rates which are being offered at present. Probably that is another thing. So, going forward, of course, in the budget yesterday there was nothing much as far as the real estate or the housing finance sector was there. But yes, LIC Housing Finance Limited

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big boost to the infrastructure sector. Infrastructure means basically constructions and this and that. That in some ways probably would rub off on the real estate and the housing sector and we can get the benefit of that. PMAY 2 is another area where we see an uptick happening in Q4 and next year. It has just taken off. It's off the ground and we are getting requests and applications. There is an open portal now. A customer can apply and any number of companies can approach him and get the business from him. Expecting an uptick in the PMAY 2, urban especially. So, these are some f

actors which probably will impact or influence the housing market in the days forward. I do not see too much of a compression in demand. Probably if RBI does not cut the rates in February, which is what I expect, believe that people will start taking the calls to go – taking the positive call to go ahead for the housing rather than waiting for a rate cut. Does that answer your question, Gaurav?

Gaurav: Yes, that's very clear. Thank you. And if I can just ask one more question. In terms of your credit underwriting process, how has that changed in let's say last 2 to 3 years and if you could help us with some details on what were your rejection rates a couple of years ago versus how do those look now currently. That will be helpful.

Tribhuwan Adhikari: Credit appraisal SOPs – well, we have a robust credit appraisal SOPs in place. But again, these are all very dynamic depending on the market conditions, depending on what our competitors are doing. We cannot be taking rigid stands and saying, no, we will not do this and we will not do that. Of course, uppermost, the entire end point of credit appraisal is to minimize risk. But at the same time, we are conscious that we are in the business of lending, which itself is basically intrinsically risky proposition. So, we are trying to match the market expectations, what is happening in the market as far as other competitors are concerned and adjust our credit appraisal SOPs so that we are competitive because at the end of the day, we have to be competitive in the market.

Gaurav: If I can just rephrase that question a bit, in the last 6 months, have we tightened underwriting standards or have we loosened underwriting standards?

Tribhuwan Adhikari: In the last 6 months, honestly, if you ask me, we have made our underwriting standards slightly more conducive to the market environment. As I said, there is a huge competition going on in the market for companies like LIC Housing Finance because our competitors are banks. So, apart from the rate war which is going on, yes, this SOP war is also going on in the market. So, banks are willing

to take calls, aggressive calls to boost their credit growth, etc. And we have had to match up with them. So, overall, in the last six months, I would say our credit appraisal SOPs have got down, I will not use the word become lax or anything of that sort. But yes, we have adjusted them and tried to match what the banks are doing in the market.

Gaurav: Those were all my questions. Thank you very much.

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Moderator: Thank you. The next question is from the line of Nishit Shah from Vi Solitech Investment Advisors. Please go ahead.

Nishit Shah: Thanks for taking my question for the second time. More than question, it is guidance kind of a thing. You said that you are going to appoint some consultants to see what are the changes that could be done to improve the business. I just wanted to know what is the kind of flexibility which the company is ready to change? Like, for example, change in management, change in business mix or change in corporate structure? What is or say have a strategic investor like PNB had a few years back? What is the kind of flexibility that we are willing to go?

Tribhuwan Adhikari: Well, very early to answer that question, because when we are onboarding the management consultant, we have given him a very wide scope, which involves looking at the entire structure of the company, the way the company is structured, looking at the various verticals within the company, the various components that we have marketing, recovery, credit appraisal, taxation, finance, etc., match it with the best practices in the market, study the competitors and the peers, and see what are the best practices in the market. We are also looking, asking them to look at the compensation structure, which we have employed in the company, as right

now is more of a

fixed compensation structure, a little bit of variable. But we are asking the consultant to look at it, how can the compensation structure or the compensation system be repackaged, so that the onus is more on performance rather than payment of fixed wages. That is another. The third thing we are also looking, asking them to look at technology, the existing technology, which the company has employed, deployed, what is there in the market, what are our competitors doing, what we need to do. So, as the digitization or the move towards digitization, which is already on in the company, we further accelerated, further, I would say, hard-coded into the DNA of the company. So, these are all the actors as far as management change is concerned. Well, that is not one of the scope of the company, because the management structure is derived from articles of association, wherein, basically, top management comes in from LIC. So, that is something which we will need to engage with the promoters. There have been some talks going on, which I cannot divulge at this stage. Yes, looking to more professional management in the future. Let us see how it goes about it. It is difficult to divulge anything more at this stage. And, as far as onboarding a new stakeholder or shareholder is concerned, probability, our CAR is 24, which is, I think, good enough right now. So, capital infusion not needed for the next 2 to 3 years. Going forward, rather than getting in a new investor or something, we have LIC as our promoter and LIC is flush with funds. So, if need be, if capital is required, we can always go. Of course, there can always be an offer to the shareholders in the forms of a rights issue or something of that sort or we can also go back to LIC and ask for a further infusion, if needed.

Nishit Shah: My question was not because of capital, like strategic investor who wishes to play India's turn. That was the question.

Tribhuwan Adhikari: Right now, not in the discussion horizon.

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Nishit Shah: And, this transformation, how much time would it take 1 year, 2 years, after these consultants are being appointed?

Tribhuwan Adhikari: The report to come in 3 to 4 months' time, the full after the entire study process is done, the report to come. And, of course, the entire, it would involve the engagement of the board also.

The board is also keenly, in fact, this is the direction given by the board. The board is also keenly involved in this. Thereafter, there would be ways and discussions going forward on what the suggestions of the consultant are and immediately, what we take forward in a phased manner, how much do we take forward at all, if we take forward. Of course, there is going to be change. There is going to be change. But, how much, when, that is something which the board will have to take a call. So, let the report come. We are also waiting with crossed fingers, waiting for the report to come. We feel that this is necessary. We have the existing situation the company is in, sort of a stalemate which we are witnessing. We are looking forward to that because we are totally aware of the fact that we need to grow. We need to grow. That is the only area where, which is probably holding us back. So, we need to grow and we are very open and very keen to adopt practices or suggestions and practices which will help us grow, get out of this, let me call

it Hindu rate of growth.

Nishit Shah: No problem. Thank you very much and hope it happens sooner rather than later.

Moderator: Thank you. The next question is from the line of Vipul Kumar from Sumangal Investments.

Please go ahead.

Vipul Kumar : Hi, sir. Thanks for the opportunity. Since you have reduced your rates to rock bottom at 7.15%, so will there be a margin pressure and corresponding reduction in NIMs in this quarter, sir?

Tribhuwan Adhikari:

No, Vipul, we have reduced our rates to rock bottom. 7.15% is what we are offering, which is among the best in the industry and we have been forced to do it. Let me honestly admit, we have been forced to do it because we are in a competitive environment. I have been in time and again harping that we are competing with banks. So, when banks are offering 7.15, I cannot say I will not offer 7.15, given the fact that my customer segment or the prime segment I operate in and the segments in which banks operate in is the same. So, given the same customer base, I cannot be fighting a war where banks are offering 7.15 and I am offering probably 7.25 or 7.35. So, given that, keeping that in mind, we have consciously reduced our rates to the lowest possible. But at the same time, we have also, right from the beginning of the year, we have adopted a strategy of diversifying our business from IHL, Individual Home Loans, to what we call OHL, Other Than Individual Home Loans, which basically in the market parlance is LAP and LRD. And we have been able to get some traction, of course, it is not as much I would have liked, but the share of other home loans in my business book is almost close to 15% right now. It used to be about 11 % to 12% earlier. So, there is a 3% uptick. And I believe the goal was to take it to 20% by the end of this financial year, probably will not happen, 20% will not happen. But from 15 to 17, if we can get to 18, I think that would be a great progress. OHL gives me the benefit

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of number one diversification in my portfolio. And number two gives me the benefit of at least 150 to 200 basis points; additional margin as compared to IHL. So, that is what we are doing. As far as compression of NIMs is concerned, I do not think there is going to be any compression, I am pretty sure of that. 2.69 is where we are at the end of December quarter. And I answered a question earlier, I expect this to be probably 2.72, between 2.70 and 2.72 in Q4. So, there is not going to be a compression in NIMs.

Vipul Kumar: Thank you, sir.

Moderator: Thank you. The next question is from the line of Sonal from Pre scient Cap Investment Advisors . Please go ahead.

Sonal Minhas : Thanks for taking my question. So, I just from a disclosure perspective, just wanted to understand your gross NPA by the category of loan or slippage, any of that. I presume that is not part of the deck, but if you could help us with those numbers, that will help us understand what the previous participant was also asking that have you tightened or have you eased off a little bit of lending going forward.

Tribhuwan Adhikari: Well, Sonal, the ready figures I have, my total Stage -3 is, of course, this is group -wide. Overall, if I look at it, the total Stage -3 is 7,705 crores as at the end of this quarter and as at the end of September quarter, it was 7,830. So, there has been a reduction of almost about 124 to 125 crores in the total Stage -3. If I talk of the various components in IHL, the individual home loan, it is approximately 3,000 crores, 2,978 to be exact. In NHI, basically your LAP and LRD, it is 1,311 crores. And in the non -housing corporate plus my builder loans and project loans, it is 3,415 to 3,416, total making up to 7,705 crores. There has been improvement in the asset quality quarter -on-quarter. Right now, if you look at it, my overall GNPA is 2.45, which was 2.51 as at the end of last quarter. So, there has been a 6-basis points compression. And compared to last year, December, we were at 2.75, the 30-basis points compression that way. So, the asset quality is moving in the right direction. It could be much better, but again, a majority of my Stage -3 is in the project loan segment. These are all legacy loans , old loans. So, again, as I said, answering to one question, they are in much progress stages of resolution.

Any of them could crack at any

point of time and give me a huge advantage. But again, as I said, these are all big builders, big corporate houses. So, they use every trick of the trade to trying to stall, especially if decisions are not what they want. So, that is one. And the other part of it, yes, I would admit that we have been a little bit slow in going to the ARC route. That is one route which many of my peers and competitors aggressively deploy and employ. So, far, total, I think, if I talk of big corporate loans, one case last year, that was in fact in the December quarter. And that was almost about 500 odd crores of outstanding book, which was resolved at, we had, of course, we took a big haircut of 50% on that. So, 250 crores came in. And that is one of the reasons why you see my PAT slightly reduced as compared to December of last year, because that big one -off was received in the month of December last year. So, again, these big project loans, any of them

could crack, something could happen at any point of time. But what I would say is that we have
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been very consciously focused on these legacy loans and we are pursuing each and everything at every stage, in various stage codes, in the DRTs, in the NCLTs, and et c. And I believe at any point of time, hopefully it happens in Q4 of this year, but we expect resolutions. As far as my retail loans are concerned, they are well in control and our delinquencies are in line with what we expect, almost at industry standards in retail loans, not much of a worry there.

Sonal Minhas : Got it. Thanks for the detailed answers. So, my second question was related to individual loans and the LAP portfolio that you are building up. I wanted to understand from a systems perspective, given that you mentioned that you are recruiting a consultant, maybe revamping the systems as well. Is there like a systemic kind of fear that my systems are not up to date because of which if I grow too fast, build up stress in my books or the systems are at par commensurate to take in 15 % to 20% growth? Just trying to understand the stress test of the system in terms of good lending at speed.

Tribhuwan Adhikari: Yes, honestly, Sonal, if I ask you, I think the systems are in place. We have the systems in place. There is nothing wrong with the technologies we have adopted or the deliverance of the technologies. It is more to do with the mindset. And let me be very clear on this. Let me talk of two segments. One is affordable and the other is your LAP and LRD . So, traditionally for almost about a 36 -year history, almost for 34 years, we were totally focused on IHL, individual home loans, lending to the segment, the salaried class, probably something to do with being a little bit risk averse because this is a segment where the solid documented income or where default chances of default are low. So, maybe because of that, as a company, we said that we would focus on individual. We paid very little attention to the OHL segment, the LAPs and the LRDs and affordable, of course, and the self -employed segment was totally not in our radar. And that is what we have been doing for the past 2 years. Attractions have been made. See, in any organization, very easy to change technology, very easy to change products, very easy to change lending practices, but very difficult to change mindsets. And I keep on telling my people, it's telling a person who has been a veg etarian all his life to start eating non -veg. So, that is precisely the issue which I am facing right now. But yes, now slowly -slowly people are realizing, people are changing. It is taking time and I understand it will take time, but we are in the right d irection. Going forward, I think you will see this change in mindset. Technology is perfectly fine, nothing wrong with technology. Yes, we can tighten up a few nuts and bo

Its here and there, no doubts

about that. AI coming in, again, I am skeptical about AI. Lots of talks in the market, AI this, AI that, and this and that. Honestly, I personally feel that the man behind the machine is more important. And so, we have to take a balanced view and not go gung -ho on AI and forget the human resources that we have . So, I think we need to work on all these fronts, both the fronts, the human resource front as well as the AI front, and more importantly, on the mindset front which needs to change.

Sonal Minhas : Sure, sir. Thanks for explaining, sir. I will fall back in the queue.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand over the conference to management for closing comments.

Tribhuwan Adhikari: Thank you, friends. Thank you for these various incisive calls or the questions which you asked.

Yes, the company is doing okay , but yes, I understand market expectations are much, much higher, and rightly so. Rightly so for a company which is the biggest housing finance company in the market, the expectations need to be higher. We need a push in the back or a kick in the back, if I may say so, to push us forward. We are consciously engaged towards that. Let me assure each and every one of you, we are not at all satisfied with the rate of growth and the delivery of performance. We realize we are capable of doing much -much better. The company, the stakeholders, the management, and the board is consciously aware of this, and the board is really pushing us hard to bring about whatever structural and mindset changes are required. And as far as the position in the industry is co ncerned, I think we are the oldest housing finance company, a single product company. So, you can say we are the exper ts in the business. We do not sell any other product. Our domain is only in the housing finance. So, we have the experience and the expertise to do this business. As far as competition is concerned, I am repeatedly saying we are very competitive in the mar ket as far as interest rates are concerned, 7.15, the lowest in the industry. And I feel going forward, Quarter 4 is going to be a very good quarter for all of us, whether it is the asset quality front, whether it is the margins front, whether it is the bu siness front and loan book front, I think it is going to be good. Thanking all of you for engaging with

us and looking forward to delivering a very satisfactory and a good performance in Quarter 4.

Thank you all.

Moderator: Thank you very much. On behalf of A xis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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"LIC Housing Finance Limited
Q4 FY '26 Investors Conference Call "
May 14, 2026

MANAGEMENT : MR. TRIBHUWAN ADHIKARI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – LIC HOUSING FINANCE
LIMITED
MR. LOKESH MUNDHRA – CHIEF FINANCIAL OFFICER –
LIC HOUSING FINANCE LIMITED

MODERATOR : MR. PRAVEEN AGARWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the LIC Housing Finance Q4 FY '26 Investors Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Agarwal from Axis Capital Limited. Thank you, and over to you, sir.

Praveen Agarwal: Thank you, Swapnali. Good morning, everyone, and welcome to this earnings call. Today with us, we have Mr. Tribhuwan Adhikari, MD and CEO; and Mr. Lokesh Mundhra, CFO, to discuss the results.

I would request Mr. Adhikari to share his initial remarks on the results, post which we'll open the floor for Q&A. Over to you, sir.

Tribhuwan Adhikari: Yes. Thank you, Praveen. Good morning, and welcome to all of you to the post earnings conference call of LIC Housing Finance Limited. As you are aware, LIC HFL declared its Q4 financial year '26 results yesterday.

Before I start the highlights of the Q4 results, I would like to outline the few developments in the economy of the last quarter. Over the past few months, the global economy has been navigating heightened geopolitical uncertainty arising from the evolving situation in the Middle East.

The conflict has resulted in volatility across global financial and commodity markets, particularly in crude oil prices. Concerns around supply disruptions and logistic bottlenecks have led to intermittent spikes in crude prices, which have implications for inflationary expectations, currency movements and global interest rate outlooks.

The increase in oil prices has exerted pressure on the Indian rupee and could potentially impact imported inflation if the situation persists for an extended period. However, India's macroeconomic fundamentals continue to remain relatively resilient, supported by healthy GDP growth, stable financial sector conditions, adequate financial -- foreign exchange reserves and continued government focus on infrastructure and capital expenditure.

Against this backdrop, the RBI maintained a wait-and-watch stance in the first MPC for FY '27 and flagged further escalation of the conflict, elevated energy prices, weather-related events, including the emergence of El Niño conditions, slowdown in exports and heightened volatility in the global financial markets as a downside risk to domestic growth.

While liquidity conditions have remained broadly adequate, the RBI continues to closely monitor inflationary trends, global commodity prices and external sector developments while balancing the growth-inflation dynamics.

Coming to the housing finance industry, despite external uncertainties, domestic mortgage demand has remained reasonably resilient. Structural drivers such as urbanization, favorable demographics, rising income levels, increased aspiration for homeownership and continued policy support for housing continues to provide long-term growth visibility to the sector.

With this, we present the financial highlights of the company for the quarter as follows: Total revenue from operations, INR7,194 crores as against INR7,281 crores for the corresponding quarter of the previous year.

Outstanding loan portfolio stood at INR3,20,707 crores as on 31st March 2026 as against INR3,07,732 crores as on 31st March 2025, reflecting a growth of 4%. The individual home loan portfolio stood at INR2,70,893 crores as on 31st March 2026 as against INR2,61,562 crores as on 31st March 2025, up by 4% and comprising 84% of the total portfolio.

Total disbursement

for the quarter were INR21,019 crores as against INR19,156 crores for Q4 FY '25, up by 10%. Out of that disbursement in the individual -- disbursements in the individual housing loans were INR16,672 crores for Q4 of FY '26 as against INR15,383 crores for Q4 FY '25, up by 8%.

And non-housing individual loan segment were at INR3,348 crores as against INR2,676 crores, up by 25%, whereas project loans were at INR847 crores compared to INR875 crores in Q4 financial year '25.

On the net interest income front, net interest income was INR2,222 crores for the quarter as against INR2,102 crores for Q3 of FY '26 and INR2,165 crores for Q4 of FY '25, showing a sequential growth of 6% Q-on-Q and 3% on Y-o-Y basis. Net interest margin for the quarter stood at 2.80% as against 2.69% for Q3 of FY '25 -- '26 and 2.85% for Q4 FY '25.

And for the full year, it stood at 2.68% as against 2.73%, which was well within the guidance given at the beginning of the year. PBT profit before tax for the quarter stood at INR1,934.24 crores as against INR1,769.58 crores, a growth of 9.31%. Profit after tax for the quarter stood at INR1,497.41 crores as against INR1,367.96 crores for the same period previous year, up by 9.46%.

And PAT for FY '25 -'26 stood at INR5,595.15 crores as against INR5,429.02 crores for FY '24 -'25, showing a growth of 3%. Dividend was declared by the Board at 500%, that is INR10 per share.

In terms of asset quality, the Stage 3 exposure at default stood at 2.16% as against 2.47% as on 31/3/25 and 2.45% as on 31/12/25, reflecting a sequential as well as Y-on-Y, year-on-year improvement in the same. Total provisions as on 31st March '26 is INR4,569 crores, with Stage 3 provisioning at -- cover at 50.08%.

The credit cost for Q4 of FY '26 is 2 basis points and the full year, it is 18 basis points. The company also conducted sale of a stressed asset through ARC for a cash consideration of INR70 crores during Q4 of financial year '26.

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On the funding side, the cumulative cost of funds stood at 7.27% as on 31st March '26 as against 7.73% as on 31st March '25, showing a decline of 46 basis points on a year-on-year basis. Incremental cost of funds also reduced significantly from 7.73% in financial year '25 to 6.94% in financial year '26, a decline of 79 basis points. And Q4 of FY '26, it stood at 6.86% as compared to 7.66% for Q4 FY '25.

During March '26, the interest rates were elevated due to the war in West Asia which resulted in a shoot up of crude oil prices and the fall of the INR at record low levels. However, we managed to reduce our interest expenses by more than INR150 crores as compared to Q3 of FY '26. We also got repriced some of our outstanding bank borrowings during the last financial year. In the last financial year '25 -'26, we raised fresh loan from banks and financial institutions amounting to more than INR45,000 crores and raised more than INR10,000 crores for NHB at very competitive rates.

Out of the total incremental borrowings of financial year '25 -'26, around 82% were at floating rates. Out of the total outstanding borrowings, share of the floating rate borrowings today stands at 52% as on 31/3/26 as compared to 45% as on 31/3/25.

On the technology initiative, the company has launched a project in February '26, which we call the straight-through process. This is basically a machine-enabled credit appraisal process, enabling automated underwriting of loans. This initiative is expected to significantly reduce

manual intervention in the sanction process and enhance overall customer experience through much reduced turnaround times.

With this brief introduction, I would like to invite you for your queries. Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. We will take the first question from the line of Maruk from Tara

Capital.

Maruk : Sir, can you talk about your growth outlook in terms of what disbursement growth in individual home loans you expect next year and even your margin outlook, your margins did expand in 4Q, but from here on. And then your Stage 3 ECL has gone down. So if you could comment on what level you would like to keep it at?

Tribhuwan Adhikari : Okay. Thank you, Maruk, for your question. Coming to the first thing regarding the growth estimates. Well, honestly, Maruk, right at the moment, we are sitting in a very volatile geopolitical situation, right? West Asia crisis going on. Nothing seems to be moving as such. Of course, a lot of initiatives, cease fire and all that have been taken.

On top of that, India itself is being impacted, the energy crisis, as we may call it, the sort of pressure -- inflationary pressure on all the other things. So honestly, growth would depend on the geopolitical situation and the economic situation.

Yes, growth in last year has been muted, 4.4% was the growth for the full financial year, largely contributed by intense pressure in the housing finance industry. As you are aware, LIC Housing Finance, basically, we are into the individual home loan segment where we are competing with LIC Housing Finance Limited

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banks and with the repo rate cut of 100 basis points by RBI, the bank's repo rate was immediately reset because their rates are linked to the repo. We had to frantically take a call on reducing our rates also that did impact -- of course, there was a time lag, a delay in us reducing rates.

So there was -- the impact was felt in the business inflow into the company. So it was a very competitive year last year, which -- and the competition did impact the -- I would say, the growth, which we received, 4.4% as against a double-digit growth, which we were alluding to in the beginning of the year.

But yes, that is the way it is going to be. And in the beginning of last year, I clearly said that given a choice between protecting margins and going for growth, I would prefer to protect my margins than really go helter-skelter for growth. So that is we have been able to protect our margins.

Going forward, honestly speaking, yes, what we are right at the moment, difficult to hazard a guess what the situation is going to play out throughout the year. Q1, definitely, we are targeting a 15% growth for Q1. Going forward, definitely, if the conditions are what they are, a 10% to 12% growth is what I'm expecting this year, and I'm pretty sure we'll get there this year.

On the margins front, 2.80% was the NIM for the quarter, 2.68% was the NIM for the entire financial year, well within the guidance of 2.6% to 2.8%, which we had given in the beginning of the year. February and March were reasonable months. Yes, February, I would say, January and February were good months for us, where we were able to borrow at very competitive rates of almost 6.8%.

But thereafter, February and March, especially March with the West Asia crisis evolving and growing, there was a pressure on the borrowing costs. The costs are still, I feel elevated. But I think in Q1, we would be able to -- we will be able to maintain a margin of 2.6% to 2.7%. For the year, difficult to predict right now. But assuming that things remain normal, I would say, for the year, margin growth -- sort of NIM of 2.5% to 2.7% is what we are aiming to achieve.

On the ECL front, yes, on the asset quality front, asset quality has been improving quarter-on-quarter. Our GNPA ratio has come down from 2.47% at the end of last year to 2.15% at the end of FY '25, '26 and NNPA is down from 1.22% to 1.08%. The provisioning requirements are reducing.

As regards settlement, no major big settlement was witnessed except for this one settlement of INR70 crores, which we could do in the month of March. So the big ticket settlements are still in various stages

of negotiation expecting, yes, advanced information, there is one big account which has been resolved.

But as per the guidelines of RBI, we have to wait for one full year before the -- let us call it, the resolution of the settlement can take effect in our books. That settlement happened in the month of May of last year. So this year in the month of May current year, the effect of that settlement will be felt in our books. So asset quality is definitely going to improve much, much further in the coming financial year, better than what we witnessed last year.

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Maruk : Okay, sir. And I just have one question. Sir, may I please ask if your successor has been identified?

Tribhuwan Adhikari : Yes. My successor has been identified. In fact, a very unfortunate incident took place. The successor who was identified earlier, suddenly passed away on the 9th of...

Maruk : Yes, sir.

Tribhuwan Adhikari : May 9th of May, Mr. Sanjay Dayal, who was the appointed C OO and designated to take over from me. He suffered a sudden heart -- on the 9th of May and passed away. Now we have another successor in place, Mr. Sandeep Kumar. He has joined us just yesterday, and he will be taking over from me on 31st of August 2026.

Moderator: We will take the next question from the line of Kunal Shah from Citigroup.

Kunal Shah: So firstly, when we look at it in terms of the overall repayment and prepayment rate during the quarter, it's been slightly higher outside of the HL loans, particularly on the LAP side. So if you can just highlight in terms of how the trends have been in BT out, how has been the repayment rates in the home loan? And why the prepayment or runoff rates were quite high in Q4 despite I would believe like there would have been some improvement on BT out during the quarter as you indicated last quarter, yes?

Tribhuwan Adhikari : Well, Kunal, yes. If I talk about the prepayment, yes, prepayment is a natural phenomenon in the housing finance industry, right? Along with every EMI, some amount of principal does come in and then people having extra cash or extra money to spare, they do try to pay off their outstanding loans. So if I talk about the last quarter, the prepayment has basically been -- on an average in the company, the prepayment is about, what, INR2,000 -odd crores every month...

Lokesh Mundhra: Yes, Kunal, just I want to supplement. For the last quarter, the net BT was around INR1,250 crores only. Prepayment by way of lump sum payment by the customer, it is normal phenomenon of the industry. So important is what BT out exactly we have paid. So that is -- it's not in an alarming situation. It is quite normal during this quarter.

Kunal Shah: So this compares with Q3, yes, INR1,150 crores, if I have to compare it with Q3, how much was that net BT out?

Tribhuwan Adhikari : And if I compare BT of Q3, in Q3 BT, 8,916 loans went out of our books amounting to INR2,157.29 crores, right? And in Q4, this figure came down to INR6,480 crores and INR1,187.71 crores. So approximately near about INR1,000 crore s reduction in BT out in Q4, which is not that BT out has increased.

In Q2 and Q3, the BT out was significantly higher. Q2, it was INR2,838 crores. Q3, it was INR2,157 crores. Q1 was INR1,341 crores and Q4 was INR1,187 crores. So BT is more or less settled at about what, approximately, if I round it up to about INR1,200 crores in a quarter.

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Lokesh Mundhra: And Kunal, for repricing of our -- this inspections we have issued somewhere in last week of October. So after October, BT out is checked to a great extent. In the last Q4, it is not so much material.

Kunal Shah: Got it. So when we are looking at, say, 10%, 12% disbursement growth for the full year. So in fact, you are suggesting closer to almost like, say, INR73,000 crores to INR75,000 -o

dd crores

of disbursements for next year. And looking at the current run rate, in fact, still the loan growth would appear to be in a mid -single digit or so.

Maybe earlier, you have been guiding for taking it towards 8% to 10 %-odd. But is there any possibility? Would there be any levers? Are there any initiatives which you are taking in order to pull that up? Or we should see nearly like a mid -single -digit growth continuing for a while given this geopolitical situation?

Tribhuwan Adhikari : Yes, Kunal, if I talk about the book growth and the disbursement growth, yes, disbursement growth was impacted in Q1, Q2 and Q3 of last year, right? If you look at Q4, our disbursement growth is 10%. So this was where we wanted to be for the full financial year, but somehow it happened in Q4 only. And this has continued in the April of Q1 of this year. In April, I have a disbursement growth of almost 20.87%, so the growth is picking up.

Yes, as regarding the levers, yes, we have looked at what we really need to do to really achieve this so -called elusive double -digit growth, which we have been alluding to in the past 2, 3 years. 2, 3 things we have identified this year, which is going to be totally different from what we have been doing in the previous years.

Number one is all this while 36, 37 years of our history, we have always been focused on sourcing housing loan assets or rather the organic method of doing business, right? For the first

time since last quarter of last -- we spent the last quarter of last year in formulating a co-lending and a DA policy, direct assignment policy, which is now ready.

So this year, we are going into going for co-lending more so in the retail segment and partially in the -- partially and cautiously in the project finance segment. So this is one initiative or one step which I think would help us grow our business as well as our book, number one.

Number two is what we are looking at. Traditionally, we have been sourcing business through our agents, right? 90% of my business comes in through them. We -- apart from them, we have just 2 corporate agents. One is our own subsidiary, LIC Financial Services Limited, which approximately does about 10% of the total business of the company.

And the other is an individual entity or a company called SP Enterprises. This year, what we are looking at -- there are a lot of business aggregators available in the market, people like Andromeda and others. We are consciously going to engage with them and try to engage them to source business for us. So that would probably give us some volume of business, INR4,000 crores, INR5,000 crores is what I'm looking for in the first year. That is one.

And number three is we have been focused -- we have been trying to do affordable business, but it has not taken off in any big way. Yes, we were cautious about it. Consciously, we were going LIC Housing Finance Limited

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slow because we were aware of the high risk in this segment. And the other thing was that since in the last 36, 37 years, we have never done affordable, the true meaning of affordable. We've mostly been comfortable doing IHL, individual home loans to the salaried and the self-employed class.

So this year, a decision has been taken that we need to set up a separate affordable vertical, something like what PNB has done, the Roshni vertical of PNB, we'll be setting up a similar vertical. The process will start very shortly. It will be completely new and totally people will be onboarded from outside because I believe people -- in our company, we are not attuned for that. So we'll be hiring people from outside. It will be a complete separate vertical wherein the entire sourcing, the entire credit appraisal, the entire recovery, the entire collection machinery will be handled by people who are attuned with, who are experienced in doing affordable business. So that

it is another.

And the fourth is we are increasing our feet on the street or resources in the marketing side. We have achieved -- we have received an approval of onboarding about 200 people for the marketing vertical. The process will be completed by the end of Q1. These 200 people are about, what, 6%, 7% of my employees -- I have a total employee strength of 2,500.

So this 200 will be about 7%, 8% of the total employee strength. So this also will add to my feet on the street and naturally my business push, which I intend to have. So these 4, 5 things which I talked about should give me at least a double-digit growth in the current financial year.

Kunal Shah: So this is on disbursements?

Tribhuvan Adhikari: This is on disbursement. Yes. Yes. On the book growth side, yes, one area we are looking at or one area we had not been very focused on was on the BT out, right, people moving out. Last year, BT out for the company as a whole was about, what, INR12,778 crores. So that's approximately a rundown of almost INR1,000 crores per month.

So this is one area which we need to focus. We have set up a separate, I would say, department, which we are calling business retention department. This year, people have been put in place, and they will be completely focused on the BT out. Any case going out, we'll have to go through this particular -- the people in this department.

And we will try whatever is possible on our part, including compromising on the rates we offer to hold back business or retain the business which we have because retaining business is always profitable because people going out are not only a drain on the income of the company, but also sourcing new people is slightly more costly proposition as compared to retaining existing customers.

Lokesh Mundhra: And Kunal, net business transfer is around INR7,000 crores only looking to the size of the company, the portfolio is more than INR3,20,000 crores. So net BT out of INR7,000 crores -- around INR7,000 crores it's very normal, I think, looking to the industry practices.

Moderator: We will take the next question from the line of Sanket Chedda from DAM Capital.

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Sanket Chedda: Just wanted to check the 10% to 12% guidance that you gave is on a loan growth, right?

Tribhuvan Adhikari: Yes, 10% to 12% is on the book.

Sanket Chedda : On the book.

Tribhuwan Adhikari : Yes. Like Kunal was talking about INR73,000 crores disbursement is what we are targeting in retail. INR4,500 crores disbursement is what we are targeting. That is the budgeted disbursement, which the Board has given us, INR73,000 crores in retail, INR4,500 crores in construction finance or the wholesale book. So total taken together is about what -- near about INR78,000 crores that is what the budget of the company is this year.

So if we get that, that will give us near about a 15% business growth. And that should definitely translate with all the steps we are taking, including retention of portfolio departments which we have opened. We expect that the BT out INR1,000 crores per month should come down significantly. And that should give me a loan book growth of double digits, 10% to 12%, what I'm talking about.

Sanket Chedda : Yes. So since we are out of the rate cut cycle, you expect the BT out to come down and hence, the guidance of 10%, 12%. Is it fair to say?

Tribhuwan Adhikari : No, can you come again, Sanket?

Sanket Chedda : No. Since we are now at the present or out of the rate cut cycle, wherein usually during the rate cut cycle, you face a lot of BT out. And now you expect that to come down, the pressure of BT outs. Is that the right assumption for next year?

Tribhuwan Adhikari : Yes. At the moment, I think that the rates are more or less fixed. I think there's not going to be - I'm pretty sure there is not going to be any more rate cut in the prevailing circumstances.

I don't

think RBI has any leeway to that. On the contrary, there is a possibility if things go -- if the situation turns from bad to worse and this West Asia crisis prolongs for another 2 to 3 months, you may -- I see there could be a possibility of a rate hike, right, increase in repo rate.

So again, this rate war, you see, the problem with us now we are competing with banks. My IHL portfolio is 82%. We have brought it down from 85% to 82% at the end of this year. We are trying diversification into the LAP and LRD segment. But yes, we are still 82% IHL.

And IHL also, it is a prime segment, basically CIBIL score 750 and above. So that is exactly the, I would say, the domain, the territory of banks. So competing with them on the rate front is proving to be very, very difficult on our part. Banks have an inherent advantage of cost of funds.

Their cost of funds are slightly lower. And slightly thing is that we borrow from banks, right?

So basically, we are competing with our lenders, which is a difficult proposition.

Hopefully, yes, hopefully, I think the rates are settled. And going forward, let us see what the RBI does, and we will have to match -- see, the problem is our banks are totally repo rate linked, right? So there is an advantage for us in an increasing rate cycle, the moment repo rate goes up, bank rates will immediately go up.

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We do have some opportunity probably 1, 1.5 month's time frame where we can sit back and probably not immediately hike the rates and probably go in for a rate hike at a slightly later stage, which can give us this 1 month, 1.5 month advantage over the bank. So let us see how it plays out, and we'll be waiting for an opportunity and try to cash in on that.

Lokesh Mundhra: And Sanket, I want to add one more thing. The BT -out for the month of March is negligible.

BT-out -- net BT -out -- so BT -out was 1,100 somewhere at the retail segment and the BT -in was 1,011. So net BT -out is hardly INR100 crores. So, looking at the size of this company, INR100 crores BT -out -- net BT -out is insignificant for the company.

Sanket Chedda : This for April, yes?

Tribhuwan Adhikari : Yeah, Sanket. What? Your voice was not very clear. Did you say something?

Sanket Chedda : Sir, I was saying relatively you are right that banks will always be more competitive on cost of funds, but within our peers or the NBFC set of companies, since we have a higher share of, say, in the capital market borrowings, our cost of fund inch -up will be relatively slower, right, in a rising interest rate scenario?

Tribhuwan Adhikari : Yes, yes, yes. Our cost of funds is definitely much, much less than that of NBFCs. We are AAA - rated, which is the highest rating you can get in the industry. Right? So, our cost on -- borrowing cost for the year was 7.27% cumulative and 6.94% incremental. This is the overall rate at which we borrowed in the last financial year. We expect -- yes, as far as the thing is concerned, we will definitely be getting lower rates as compared to NBFCs and other HFCs. So, we'll try to take it at an advantage. But, again, the problem, as I said, we are competing with banks. So even a borrowing cost of -- incremental borrowing cost of 6.94% as compared to the borrowing cost of a bank, including CASA, which probably would be 5.5%, 5%, it is still on the higher side. So we have a little bit of more tightrope walking to do as compared to banks. But yes, we have to be competitive, as I said, because it's -- because of the line of business, the segment in which we operate, IHL. We have to be competitive, we have to compete with banks and we'll do that.

Lokesh Mundhra: This year, our maximum borrowing is from banks and at floating rates only. So almost 82% we

have borrowed at floating rates, especially from banks there is a substantial reduction in rate of interest. On an incremental basis

, banks borrowing was at 7.85%. This year is 6.90% only. So a lot of cost benefit we got in the current year.

Sanket Chedda : And what I was alluding to is since we have a lot of NCDs, NCDs typically have a 3 -year, 5 -year maturity. So in that context also, our rate -- even if the rate increases, our rate increase will be relatively slower. The last question I wanted to have is, sir, if you can tell us something about April disbursements in terms of how it is versus last April? Any sense if you can give?

Tribhuwan Adhikari : No, disbursements in terms of what, Sanket?

Sanket Chedda : April disbursements in the month of April, how they have fared with last year, like for quarter, you were saying 15%, but April to April, the disbursement growth would be what?

Tribhuwan Adhikari : Yes, I told you, April to April, my disbursement growth is 20.87%.

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Moderator: We will take the next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.

Abhijit Tibrewal: Yes. Sir, 2 things. One is during your opening remarks, you have shared that domestic mortgage demand has remained reasonably resilient. And then you also shared that almost 20%, 21% kind of a growth in disbursements that we see in April this year. Just trying to understand, I mean, out of a few real estate companies, developers who've reported, we have started seeing some acknowledgment that footfalls have moderated a little bit.

Conversions are now taking longer. Customers are taking longer to make a purchase decision. So just trying to understand, have you started seeing any of that in April and May because your growth in April tells a very different story. So just trying to understand, I mean, what is your view on this?

Tribhuwan Adhikari : Yes, Abhijit, yes. Last quarter also, we grew by 10%, which was significantly higher than the growth in Q1, Q2, Q3. And then carrying it forward in April, we have shown a growth of almost 21%. So right now, the impact of either the West Asia crisis or the , I would say, slightly reduced outlook for the economy has not yet played out in us.

And I think typically, the reason is because of the segment we operate in, right? We are mostly into IHL, salaried class mostly. And number two, we are basically -- our ticket size is on about INR32 lakhs per loan. So basically, we are operating in the middle class segment. So right now, in this segment, not seeing too much of an impact. But if this crisis continues, the energy crisis continues, inflation goes up, definitely, there will be an impact.

The other part of it is which has me worried also to some extent, is the impact of AI, right? In India, we've been hearing a lot about AI and especially in the Western world. Right now, the impact, yes, there have been layoffs in India, but not to that extent.

So going forward, we'll have to be very, very cautious and I would say, on our feet and toes in assessing the impact on AI because some of the large centers where I do business, LIC HFL does business are basically centers which revolve around the IT industry, centers like Bangalore, centers like Chennai, centers like Hyderabad, Gurgaon, Pune.

So these are centers where a big chunk of my business comes in from. And these are centers which are totally, I would say, revolved around or evolved around the IT industry. So if AI -- the impact of AI does impact these centers, it is definitely going to impact my business also. So that is the worry for me.

Yes, West Asia crisis is a worry. Because basically, if you look at the housing thing, especially the segment ideally in the middle class segment, it is all sentiment based, right? If I go to buy a house being a middle -class man, I would first need to be very sure about my future, my future earnings, my capacity to repay.

So if there is any doubt, any hesitancy, I would defer the decision to purchase

a house or take a

loan, etc. So that could play out -- that could be maybe what is playing out when the developers are saying that we are witnessing slightly lesser footfalls or lesser interest.

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And the other part of it is most of the developers, at least the big developers, if you see, they are into the semi -luxury and the luxury segment of the market. This is an area where we don't operate in. So there also, the sentiment plays a big hand. If a person or a businessman or anybody with money sees that my future income is protected, he's definitely going to go for INR3 crores, INR5

crores, INR10 crores or even INR100 crores Camellia.

So that could probably be the reasons. Right now, touch wood, we have not been able -- we have not felt the impact as such. Going forward, keeping our fingers crossed, hopefully, nothing happens.

Abhijit Tibrewal: Got it, sir. That's useful. Sir, the other question I had is, I am hoping you've not made any PLR changes in this quarter, which is yet to reflect in the reported yields, right?

Tribhuwan Adhikari : No, no, we have not made any PLR changes as yet. But yes, considering our cost of borrowing, which has increased in the month of March and April also, probably in the month of June, we will have to take a call on what we need to do. Definitely, at these rate -- at these levels of borrowing costs will be difficult to maintain the PLR at the rate at which we are maintaining.

Abhijit Tibrewal: Got it. But sir, just on that, I mean, from what I understand, mostly in the HFC space, we are price takers in the mortgage segment from banks. So unless there is a repo rate increase, do you think a PLR increase can be pushed through to customers?

Tribhuwan Adhikari : Well, if you're analyzing the banks, at least the quarterly results of banks, the NIMs of all banks are under pressure, right? Liquidity situation tightening, though right now, I have said that it is more or less adequate. But I think in the coming times, unless RBI intervenes in a big way, the liquidity situation is going to be tighter.

So again, I think banks also need to take a call as what they need to do with their NIMs. And similarly, if they increase then being in a competitive segment, yes, as I said, we have a leeway of probably 1 month, 1.5 months. But within a month, 1.5 months, we'll also have to increase if you want to protect our margins.

Lokesh Mundhra: Our cumulative cost as on 31st March, it was 7.27%. But as of now, there is no -- not an increase in that cumulative cost. Otherwise, there is a dip of at least 2 bps in that cumulative cost of borrowing. As of now, I don't think there is any need of increasing PLR or any rates. Let's see first quarter, then definitely we'll review it and then accordingly we will take a call.

Abhijit Tibrewal: Got it, sir. Got it. And then the last question that I had is, I mean, have you taken any technical write-offs or...

Moderator: Sorry to interrupt in between Abhijit. I request you to kindly rejoin the queue again for more questions. We will take the next question from the line of Renish from ICICI.

Renish Bhuvra: Sir, my first question is on the NIM, right? So when we look at the spreads, actually it fell sequentially and largely due to continuous asset yield contraction. So just wanted to understand how do you see asset yields moving going ahead also considering we want to restrict BT out.

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And also at the same time, we are thinking to modify PLR in the next couple of months. So yes, anything on the asset yield, what do you see, let's say, near term?

Tribhuwan Adhikari : Yes, talking of spreads. We ended the year with a spread of 1.94%. And when compared to last year, the spread was 2.06%. So yes, definitely, there was a 12 basis point compression in the spreads. But this was expected.

We were expecting this because of our competition with banks, the low lending rates, the BT outs, the rewriting and rewriting happens when a customer applies for rewriting at a lower rate as compared to his existing rate.

So rewriting almost INR40,000 crores of business got rewritten where the rates got reset. And we had to reduce our rewriting rates also to keep them in line with the market. So it's going to be a challenge maintaining NIMs, I'm telling you. Yes. But what we are trying to do, cautiously for the past 2 years, we've been trying to diversify our business from the predominantly IHL segment into the LAP and the LRD.

And I would say I am reasonably satisfied. In 2 years, we've been able to increase the proportion of our LAP and LRD business to around about 15%. Last year, it was at about 12%. So this year, there's a 3% increase.

Yes, nothing great if you talk about the percentage increase, but definitely a directional shift. And if you realize, if you understand right changing -- you can change products, you can change everything, but changing culture is very, very difficult. So predominantly, our retail dominant culture and moving it to LAP and LRD is going to take some time.

It's going to take some time, but we are definitely there. We would ideally like to have at least 25% of our business in the coming 2 years from LAP and LRD, which are margin -accretive segments. So that is the way forward. And the other thing, the affordable, of course, it will take time because we are setting up the vertical this year. So I expect another 2 to 3 years where we can get into the affordable.

And the third part is our -- the construction finance, right? Last year was not a very good year for us. There was a negative growth in the wholesale book, largely because of our restriction imposed by the Board on processing wholesale loans where the developers are rated BBB and above, right?

So that we have addressed. We have now come out with our own credit rating model wherein this BBB will be removed. And I think in the next month onwards, I think we should have a fairly level playing field for construction finance also. So that will give us some margin because construction finance our lending rates are slightly higher in construction finance. I think it's more about 11% -- near about 11%, right? So I think that should help me in protect my margins.

Renish Bhuvu: Got it. Sir, but if I -- LRD and IHL yields would be very similar, right?

Tribhuwan Adhikari : No, LRD is slightly higher than IHL. We do not -- if my IHL starts at 7.15, of course, that is for the top bracket, top notch, 800 plus CIBIL My LRD would be starting at somewhere about 9.25, right. So there is a big...

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Renish Bhuvu: LRD would be closer to 10%?

Tribhuwan Adhikari : Starts at 9.25. Average, I would say, would be around about 9.75%. On an average, I think LRD would be at 9.75%.

Renish Bhuvu: And LAP?

Tribhuwan Adhikari : LAP would be at 9 -- average would be about 9.3%, 9.4% lower than LRD.

Renish Bhuvu: LAP is lower than LRD.

Tribhuwan Adhikari : Yes.

Renish Bhuvu: Got it. And sir, just lastly, on this affordable piece, is there any target in our mind that, let us say, by '28, we want to scale this book to this level or something?

Tribhuwan Adhikari : Renish, no, right of now, no target. Right now, we are planning for the baby to be born. Now whether he becomes an IAS officer or a pilot or an astronaut, we'll see after he is born.

Moderator: We will take the next question from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: This growth that we are targeting of 10% to 12%, how do we decompose that segment -wise?

And how much are we expecting for individual home loans? How much for LAP, how much for construction finance? Also, if you can give me segment -wise yield on books and segment -wise

G

S3 numbers?

Tribhuwan Adhikari : Segment -wise yield on books and...

Shubhranshu Mishra: GS3 numbers, gross Stage 3 numbers or segment -wise...

Tribhuwan Adhikari : Lokesh, just look at the segment. Yes. Talking about this 10% to 12% growth in the book, as I said. Yes, retail, we will be targeting about near about, I think, 15%, right? That is what the budget is for, the budget of INR73,000 crores.

Last year, we had done INR66,000 crores. So the budget is around about 15% for retail. Project finance, we have reduced our budget from INR10,000 crores because last year, we just did about INR2,000 -odd crores. We have reduced it from INR10,000 crores to INR4,500 crores.

But honestly, heart -- my heart says that we should be able to do more because now, as I said, we have come out with a new credit rating model, which does not put this obstacle or limitation of BBB -rated companies. So I should be able to get a fairly wider pool to source my business from. Though we have set it at INR4,500 crores, I expect at least INR6,000 crores to INR7,000 crores from my project team to come put together.

LRD last year, we have witnessed a growth of LRD and LAP, we have witnessed a 25% growth.

That is not contributing too much of thing of my book right now. But LRD and LAP, I would expect this 25% growth rate to continue. In fact, I would expect it to accelerate because slowly, slowly, as we've been doing it for the past 2 years, there has been a visible momentum shift,

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change in the mindset, change in the culture, the confidence level of people in writing this LRD and LAP loans has increased.

So approximately about a 25% growth in LRD and LAP this year, continuation from where we left last year, 10% to -- 10% growth in retail -- no, 15% growth in retail and approximately at least more than 100% growth in project because INR2,000 crores what we did last year, INR4,500 crores is the minimum target which we have to achieve this year.

Lokesh Mundhra: Shubhranshu, just I want to add, you wanted to know the segment -wise yield. So just cumulative yield on the IHL is around 9.03% for the cumulative yield. And for non -housing individual, it is 10.05%. And for others, corporate loans and project loans, it is 10.56% on cumulative basis.

And in totality, it is 9.21%, our cumulative yield for the -- as on 31st March '26.

Shubhranshu Mishra: And GS3, sir?

Tribhuwan Adhikari : What rate?

Shubhranshu Mishra: Gross Stage 3 segment -wise?

Tribhuwan Adhikari : Stage 3 segment -wise.

Lokesh Mundhra: You mean Stage 3 NPA?

Shubhranshu Mishra: Yes, sir. Yes, sir.

Lokesh Mundhra: Segment -wise. So Stage 3 for individual loan, it is 1.03% only Stage 3 individual loans. And for NHC, it is 20%, 20% plus 21.02%. For NHI, it is...

Shubhranshu Mishra: Right. And sir, if I can just squeeze in one last ...

Lokesh Mundhra: Yes, sir. 3.02%. NHI is it 3.51%...

Tribhuwan Adhikari : Non housing individual, this is basically your LAP and LRD. This is 3.51%...

Lokesh Mundhra: And in totality, Stage 3 is 2.15%.

Shubhranshu Mishra: Understood, sir. And if I can just squeeze in one last question, sir. So LIC holds a large stake in IDBI Bank and of course, it owns wealth as well. Is there any discussion at the Board level of a merger, then we get that cost of fund advantage as well, right, sir? So we don't have to compete with the banks anymore?

Tribhuwan Adhikari : No, no, no. That I think your DIPAM has already run with no merger of IDFC -- no, sorry, IDBI with LIC. They're not allowing that, though I...

Shubhranshu Mishra: But isn't that logical, sir. This will reduce our pressure -- cost of funds, sir?

Tribhuwan Adhikari : No, no, agreed. Subhanshu will do it. If you have some lobbying skills, you can lobby with RBI and tell them to permit. Regulator has to permit, Shubhranshu.

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Lokesh Mundhra: Shubhranshu, we are not the right person to answer this question basically, it belongs to LIC...

Tribhuwan Adhikari : Because the regulator has to...

Lokesh Mundhra: Our parent organization.

Tribhuwan Adhikari : The regulator is not permitting, neither RBI nor IRD A.

Moderator: We have the next question from the line of Gaurav Khandelwal from JPMorgan.

Gaurav Khandelwal: I actually got 2 questions. One on the corporate NPA resolution, how much is the amount pending? What is the size of the resolution that you expect to book in May? And any more clarity on when can we expect rest of the resolutions to take place, sir?

Tribhuwan Adhikari : Well, if you look at the corporate NPA, our Stage 3 -- just a minute, that is 20.91%. He's wanting it's volume. Volume of total NPA -- breakup of...

Lokesh Mundhra: Gaurav, for corporate and projects, our NPA exposure under Stage 3 is INR2,837 crores.

Gaurav Khandelwal: Okay. And any time line?

Tribhuwan Adhikari : No, corporate NPAs, Gaurav, as I've been saying, corporate NPAs, these are a difficult piece to resolve because most of these are companies and they have their own legal teams. They are very adept in putting a spanner in the works. Yes, but then a lot of work has gone in last year, especially the big NPAs in the corporate sector, which we have.

And we did resolve one INR70 crores through ARC sale in March of last year. There are others lined up, and I believe touch wood Q1 of the current financial year should be good. Another piece of news in advance is that we have gone in for a resolution in one of the big corporate NPAs where -- the resolution has been finalized in May of 2025 as per RBI directives and guidelines.

The effect of that resolution can only be taken after a curing period of 1 year. So May 2026 is when that resolution -- the effect of that resolution goes into my books. So that would reduce my NPA as well as reduce my provisioning significantly. I cannot give you the exact figures right now.

But overall, I think corporate NPAs are well on the way. Just keeping our fingers crossed lots of cases in the DRTs and the NCLTs, which usually takes time, as you know. But again, many of the people whom we have taken to NCLT and DRT wanting to settle. Of course, the moment we get a proper settlement price, which is, I would say, acceptable to both then the resolution does happen.

And on top of that, ARCs, yes, we are pursuing ARCs. There have been just 2 ARC sales so far, but we are trying to rework our ARC policy, try to be slightly more accommodative and possible and try to offload bigger chunks of our retail NPAs, especially in the retail segment and just specified NPAs or difficult NPAs in the corporate segment. So all put together, all these 3 efforts

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would result in a significant improvement in my asset quality, provisioning requirements. and the overall improvement in the asset quality.

Gaurav Khandelwal: Got it. That's very helpful. But if I just look at the bigger -- the larger picture, how are you

internally thinking about the ROA in FY '27? So we ended the year at 1.78% in FY '26. From your comments, margins likely NIM is going to go down. You're going to do more of third-party distribution.

So that's an addition on the cost, DSA loans would cost anywhere between 50 to 100 basis points on disbursements as a percentage of the disbursement amount. Credit costs at best stays flat in FY '27 or potentially moves up. In that context, how shall we think about ROA for FY '27?

Tribhuwan Adhikari : No. Credit cost -- see, as far as NIMs are concerned, yes, we have given you a slightly lower guidance, but we would be looking at maintaining the NIMs at this level because, again, you'll have to see, yes, cost of borrowing is up. But then as I said, we'll have to take a call on the cost of lending a

iso, and that should happen quickly, number one.

Number two, ROA, 1.78% for the year, right? This year, what guidance should I be 1.75% to 1.80% in the ROA under the existing circumstances, if things improve or thing better, we'll be looking. The target given by the Board is 2% -- target given by the Board is 2%, right?

Gaurav Khandelwal: Got it, sir. Okay. And any plans on increasing dividends?

Tribhuwan Adhikari : Well, dividends, we maintained it. Last year, we had increased it from 450% to 500%, right, INR10 per share...

Gaurav Khandelwal: Yes. But going forward, any discussions at the Board level because if ROA -- well, if ROA, let's say, is flat in FY '27, ROEs have been declining. So has there been any discussion on whether you want to increase payout to hit that 15%, 16% ROE mark?

Tribhuwan Adhikari : Well, yes, there was a discussion in the Board yesterday on this. Yes, certain Board members were of the opinion that we should increase dividend payout and other Board members were of the opinion that maybe we could find other ways of, let me say, rewarding investors. But nothing -- no decision has been taken. But let's see, going forward, how it goes, how it goes because this is a call to be taken by the collective Board altogether.

Moderator: We will take the next question from the line of Rakesh Kumar from Valentis Advisors.

Rakesh Kumar: So firstly, the question with respect to affordable housing. So what is the credit composition that we are looking at, like you referred the name of PNB Housing, like where we have seen composition rising from 2.7% to 9.4% from like year '24 to year '26 March? So how do we see affordable housing mix changing or like increasing because it is not there right now. So how to look like maybe 1 year down the line?

Tribhuwan Adhikari : Rakesh, honestly speaking, see, the baby has not yet been born. So we are first looking -- getting the baby born and then seeing whether it is healthy or not, how it shapes up. So honestly

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speaking, right now, we have no targets in mind for the first year. Yes, eventually, we do realize this is a segment as a company, we have to be in.

We also realize that this is a segment which is completely new to us. And so we are cautious that we should not jump into it head first and burn our fingers or burn our heads, if I may say so. So we will be taking a thing.

We'll be setting up the vertical. And I said, this vertical has to be run by people who are experts or who have experience in running or working in the affordable segment vertical, right, affordable segment. So honestly speaking, yes, in the long run, we would expect this segment to contribute significantly to the business of the company. But right now, we have no targets. We have not set any targets.

Rakesh Kumar: Got it. Just one small question. Like if we look at like in the declining interest rate like phase, we have seen like our funding cost going down by 46 bps and credit yield going down by around 58 bps. So assuming like from the next year onwards, if we see rising interest rate scenario, so would we see the reverse like and to what extent possibly?

Tribhuwan Adhikari : So looking into the very competitive scenario, which we are in, right, competing with banks. So I do not see a major reversal happening with the interest rates going up because, yes, interest rates going up, it does give the housing finance companies the benefit of slightly higher rates or higher spreads or higher margins.

But then again, if you have to compete with your competitors, you cannot do things which are completely different from what they are doing. Until and unless you are going to -- you are able to enter into segments into which your competitors are not very comfortable with or not very, I would say, focused on. So that is precisely what we are trying to address it from the 2 f

ronts.

Number one, knowing very well that IHL is our forte. We are not going to, I would say, dissuade people from doing IHL. Rather, we would say we would try to encourage people to get into LAP and LRD more. We have done that. The difference -- the rate of commission we are paying on LAP and LRD is slightly higher differential as compared to IHL.

And there has been a visible shift, as I said, about 15% business coming in from there as compared to 12% of last year to 3% increase in 1 year. Going forward, as this momentum picks on, people become more comfortable with selling LAP and LRD, I expect this percentage share to increase further.

So these are margin accretive, right, as compared to IHL because IHL is something which is giving me the lowest margins and lowest spreads. So these are margin accretive. So that is the segment we are trying to focus on, but it cannot happen overnight. We are a company for 36 years doing IHL, we cannot suddenly expect them to suddenly shift to whole hog to LAP and LRD.

It's going to be gradual, but definitely that -- directionally, we are there. We would like to increase the pace, of course. So that will probably give me a slightly better spread and maybe they help me to maintain my margins, which I have declared this year, my NIMS.

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Lokesh Mundhra: Rakesh, I want to add one more thing. Our spread is 1.94%. If you see the industry average, it is on a better side. So if we are able to maintain this similar spread, then I think definitely our margins or NIM would be better in the current coming year.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. And with that concludes the question-and-answer session. I now hand the conference back to the management for closing comments. Thank you, and over to you, sir.

Tribhuvan Adhikari : Yes. Thank you, friends. Thank you for joining us on this conference call. We have outlined what we feel are going to be our strategy or our thought process in the coming financial year.

And as I said in the very beginning, with the volatile situation, the geopolitical uncertainty in the markets right now, we are keeping our fingers crossed.

We are looking at whatever is happening in the geopolitical world and also on the economic front in the country. Hopefully, things should turn out for the better because, again, we are a global -- this is a global -- this crisis affects the entire world. I'm sure the world leaders would get together and try to get out of this crisis rather than sticking on to their egos.

So hopefully, we started the year well. We started the year well, and we are hopeful -- not only hopeful, I think we are positive that this year is going to be a better year than that for last year.

Looking forward to meeting you at the end of Q1 and discussing and analysing the situation further. Thank you all. Thank you for participating in this conference call.

Lokesh Mundhra: Thank you everyone.

Moderator: Thank you, members of the management. On behalf of Axis Capital Limited, we conclude this conference. Thank you all for joining with us today, and you may now disconnect your lines.

Thank you.